COMPANIES ACT 2063

कम्पनी ऐन, २०६३

Up to latest amendment
dated 2081/12/18

BY CA GOVINDA TAMANG

COMPANIES ACT, 2063

ACT NO. 18 OF 2063

APPLICABLE FROM
20th Asoj, 2063

DATE OF AUTHENTICATION
24th Kartik, 2063

AMENDMENT HISTORY

SN	DESCRIPTION	DATE
1	An Act to Amend Certain Nepal Acts, 2064	2064/05/09
2	Companies (1st Amendment) Act, 2074	2074/01/19
3	Act to Amend Some Nepal Acts to Conform with the Constitution of Nepal, 2075	2075/11/19
4	Act to Amend Some Nepal Acts to Improve Financial and Business Environment and Increase in Investment, 2081	2081/12/18

PREAMBLE

"To bring about dynamism in the economic development of the country by promoting investment in the industry, trade and business sectors through economic liberalisation and make the incorporation, operation and administration of companies much easier, simpler and more transparent."

Chapter 1
Preliminary

Section 1 : Short Title and Commencement
Section 2 : Definition

COMPANIES ACT, 2063

KEY DEFINITIONS

2(z3)

"Net worth" means the **assets** of a company remaining after **deducting** the **paid up capital, reserve, fund** or **free reserve** of whatever designation to which shareholders have right or **all other liabilities** other than **goodwill, if any**, of the company as well as **loss provisions , if any**, from the **total assets** of the company for the time being.

*Other than goodwill, if any, and loss provisions, if any.

2(z4)

"Consensus agreement" means an agreement made **unanimously by all the shareholders** of a private company existing for the time being in respect of the operation of the company.

2(z9)

"Close relative" means a partition shareholder in joint family or husband, wife, father, mother, mother-in-law, father-in-law, elder brother, younger brother, elder sister, younger sister, sister-in-law, (elder or younger brother's wife), brother-in-law, sister-in-law, brother-in-law, (husband of elder sister), uncle, aunt, maternal uncle, maternal aunt, son, daughter, daughter-in-law, grand-son, grand-daughter, grand-daughter-in-law or son-in-law.

Chapter 2 Incorporation of Company

Section 3 : Incorporation of Company
Section 4 : Application to be made for incorporation of company
Section 5 : Registration of company
Section 6 : Power to refuse to register company
Section 7 : Company to be a body corporate
Section 8 : Limited liability
Section 9 : Number of shareholders
Section 10 : Terms to be abided by company
Section 11 : Paid up capital of public company
Section 12 : To be incorporated as public company to carry on some specific transactions
Section 13 : Conversion of private company into public company
Section 14 : Conversion of public company into a private company
Section 15 : Service of summons, notice etc
Section 16 : Functions and duties of Registrar
Section 17 : Pre-incorporation contract

SECTION 3 INCORPORATION OF COMPANY

- Any person, alone or with others, may incorporate a company for the objectives stated in the MOA.
- A public company must have **at least 7 promoters**, except when a public company incorporates another public company.
- A non-profit company may also be incorporated for one or more objectives, subject to Chapter-19.

KEY POINTS

- Freedom to incorporate for lawful objectives
- Minimum **7 promoters** for public company
- Non-profit companies permitted (Chapter-19)

SECTION 4 APPLICATION TO BE MADE FOR INCORPORATION OF COMPANY

- A person wishing to establish a company shall apply electronically to the Office for approval of the proposed name.
- After approval, submit an electronic application with documents:
  - Memorandum of Association (MOA)
  - Articles of Association (AOA)
  - For a public company, promoter agreement (if any)
  - For a private company, consensus agreement (if any)
  - Required approval or license under prevailing law (if applicable)
  - For Nepalese promoters, citizenship certificate; For Non-resident Nepalese promoters, Non-resident Nepal Citizenship Certificate; for corporate promoters, incorporation and board documents.
  - For foreign promoters, investment/business permission required under prevailing law.
  - For foreign individuals, proof of citizenship.
  - For foreign companies or bodies, incorporation certificate and related documents.
- A single-founder, single-shareholder company is not required to submit AOA if it adopts the prescribed standard form.

KEY POINTS

- Apply electronically for name approval
- Submit required documents electronically
- Certain approvals and certificates are mandatory
- Single founder company can use standard AOA form

SECTION 5 REGISTRATION OF COMPANY

- The Office shall register the company and issue a registration certificate within 7 days of the application; if not registered, reasons must be provided within 3 days.
- Applications, certificates, and related documents are valid with electronic signatures and may be submitted electronically.
- A company is deemed incorporated upon its registration.
- The Office shall maintain a Company Register in the prescribed form.
- Upon incorporation, the MOA, AOA, and shareholder agreements are binding on the company and its shareholders.
- No person may carry on business using the word "company" without registration under this Act.

KEY POINTS

- Registration within 7 days
- Documents valid with e-signature
- Binding effect of MOA, AOA & agreements
- No business in the name "Company" without registration

POWER TO REFUSE COMPANY REGISTRATION
(Section 6)

CONFUSINGLY SIMILAR NAME/TRADEMARK

AGAINST LAW, PUBLIC INTEREST, MORALITY

OFFICE

SIMILAR TO CANCELLED/ INSOLVENT COMPANY
(within 5 Yrs)

REQUIREMENTS NOT FULFILLED

OFFICE NOTIFIES (within 15 Days) → **APPLICANT FILES COMPLAINT** (within 15 Days)

COMPANY AS A BODY CORPORATE
(Section 7)

ACQUIRE, HOLD, SELL PROPERTY

SUE AND BE SUED IN OWN NAME

ACQUIRE, HOLD, SELL PROPERTY

PERPETUAL SUCCESSION

ENTER INTO CONTRACTS

COMPANY LIABILITY & SHAREHOLDERS
(Section 8)

LIMITED LIABILITY

(Section 9)

PRIVATE COMPANY

MAXIMUM 100 SHAREHOLDERS

SPECIAL CASE: TRANSPORT PROFESSIONALS

PUBLIC COMPANY

AT LEAST 7 SHAREHOLDERS

NO MAXIMUM LIMIT

EXCLUSION EMPLOYEES IN SHARE SCHEME (including non-service) **NOT COUNTED**

GUIDELINES FOR COMPANIES: SECTIONS 10, 11, AND 12

SECTION 10: TERMS TO BE ABEDED BY COMPANIES

- **FOLLOW THE ACT, RULES & MANAGEMENT LETTER**
- **ALL TRANSACTIONS IN COMPANY NAME**

- **NAME REQUIREMENTS:**
  - Private Limited (Pvt. Ltd.)
  - Limited (Ltd.)

  (Exemptions for Non-profits)

- **PRIVATE COMPANY RESTRICTIONS:**
  - No public offering of shares/debentures
  - No transfer/mortgage to non-shareholders without approval
- **NO PARTNERSHIPS OR PRIVATE FIRMS**
- **NON-PROFIT DISTRIBUTIONS:**

  No dividends or money to members/relatives (with exceptions)
  - coins being directed only to specific allowed uses

SECTION 11: PAID-UP CAPITAL OF OF PUBLIC COMPANIES

MINIMUM PAID-UP CAPITAL:

NPR 10 MILLION

(or higher as specified)

UNLESS NOTIFIED BY GOVERNMENT OF NEPAL
(NEPAL GAZETTE)

TRANSITIONAL REQUIREMENT:

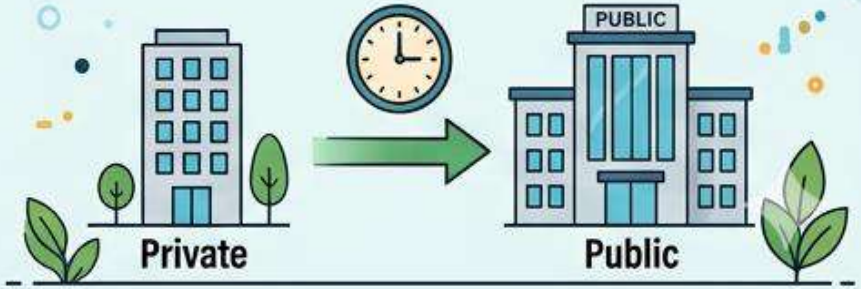
For existing companies below minimum, must increase capital by

22 ASHWIN 2065
(8 DECEMBER 2008)

SECTION 12: INCLCORPORATION AS PUBLIC COMPANY FOR SPECIFIC TRANSACTIONS

THESE SECTORS MUST OPERATE AS PUBLIC COMPANIES

EXISTING PRIVATE COMPANIES IN THESE SECTORS MUST CONVERT WITHIN 2 YEARS



SECTION 13: CONVERSION OF PRIVATE COMPANY INTO PUBLIC COMPANY

PRIVATE COMPANY

1 SPECIAL RESOLUTION IN GM & MEET LEGAL REQUIREMENTS

2 APPLY WITHIN 30 DAYS
- List of prescribed
- documents and fees

3 OFFICE ISSUES CONVERSION WITHIN 60 DAYS

4 PUBLIC COMPANY PROVISIONS APPLY

5 AUTOMATIC ASSET & LIABILITY TRANSFER

SECTION 14: CONVERSION OF PUBLIC COMPANY INTO PRIVATE COMPANY

LARGE PUBLIC COMPANY

1 WHEN CONVERSION HAPPENS

a. SHAREHOLDERS < 7

b. PAID-UP CAPITAL SHORTFALL
- e.g. UNDER SECTION 11
- CAPITAL REDUCTION under S.57)

2 CONVERSION PROCESS WITHIN 6 MONTHS
Company must amend MOA & AOA

3 APPLICATION TO OFFICE WITHIN 30 DAYS
- Include Amended MOA & AOA
- Prescribed fees

4 OFFICE RECORDS & ISSUES CERTIFICATE WITHIN 60 DAYS
(new private certificate)

5 AUTOMATIC ASSET & LIABILITY TRANSFER

SECTION 15: SERVICE OF SUMMONS, NOTICE, ETC.

1. MODES OF SERVICE

REGISTERED OFFICE | REGISTERED POST | EMAIL | FAX | OTHER ELECTRONIC MEANS

ALTERNATIVE SERVICE

RADIO, TELEVISION, NATIONAL NEWSPAPER → DEEMED SERVED

2. SERVICE TO SPECIFIC INDIVIDUALS

DIRECTORS | SHARE-HOLDERS | DEBENTURE-HOLDERS | EMPLOYEES → EMAIL / FAX / REGISTERED POST (Valid Service)

3. ELECTRONIC SERVICE CONSENT

CONSENT → PERMITTED BY AOA OR RECIPIENT

NO CONSENT → POST OR RELIABLE MEANS

SECTION 16: FUNCTIONS AND DUTIES OF REGISTRAR

1. IMPLEMENTATION & ADMINISTRATION

- IMPLEMENTS THE ACT
- ADMINISTERS COMPANY AFFAIRS

2. ISSUE DIRECTIVES

DIRECTIVES → COMPANIES & OFFICERS MUST COMPLY

3. PUBLIC AVAILABILITY

PUBLICLY AVAILABLE DIRECTIVES

4. DELEGATION OF POWERS

SUBORDINATE OFFICERS | EMPLOYEES → DELEGATE POWERS

5. PREVAILING LAW

REGULATORY BODY → POWERS UNAFFECTED

SECTION 17: PRE-INCORPORATION CONTRACT

BEFORE INCORPORATION

PROPOSED CONTRACT → NOT BINDING ON THE COMPANY

PERSONAL LIABILITY (2)

PERSON IS PERSONALLY LIABLE → DEBT

AFTER INCORPORATION (3)

COMPANY ACCEPTS/RATIFIES TRANSACTION

CONTRACT BECOMES BINDING

PERSONAL LIABILITY ENDS

PRIVATE COMPANY EXCEPTION

PRIVATE COMPANY → GOVERNED BY CONSENSUS AGREEMENT

Chapter 3 Memorandum of Association, Articles of Association and prospectus

Section 18 : Memorandum of Association
Section 19 : Signature to be affixed on memorandum of association
Section 20 : Articles of association
Section 21 : Amendment to memorandum of association and articles of association
Section 22 : Memorandum of association and articles of association to be published
Section 23 : Prospectus to be published
Section 24 : Liability for matters contained in prospectus
Section 25 : Duplicate copies to be issued
Section 26 : Seal of company and its use

SECTION 15: SERVICE OF SUMMONS, NOTICE, ETC.

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PRIVATE COMPANY → GOVERNED BY CONSENSUS AGREEMENT

SECTION 18: MEMORANDUM OF ASSOCIATION (MOA)

MOA SHALL STATE:

1. **COMPANY NAME**
2. **REGISTERED OFFICE ADDRESS**
3. **COMPANY OBJECTIVES**
4. **ACTIVITIES TO ACHIEVE OBJECTIVES**
5. **CAPITAL STRUCTURE** (Authorized, Issued, Promoters' capital)
6. **SHARE DETAILS** (Types, Rights, Value, Number)
7. **TRANSFER RESTRICTIONS, IF ANY**
8. **PROMOTERS' SHARES** (Number subscribed)
9. **SHARE PAYMENT TERMS**
10. **LIMITED LIABILITY STATEMENT**
11. **PRIVATE COMPANY SHAREHOLDER LIMIT**
12. **OTHER NECESSARY MATTERS**

ADDITIONAL REQUIREMENTS & RULES

NON-CASH CONSIDERATION (2)(a):
(e.g., Intellectual Property, Value Addition, Services, Goodwill)
- If shares are subscribed/acquired for non-cash.
- If company acquires property from promoters/others at commencement.

INCORPORATION EXPENSES & SPECIAL RIGHTS
- Will company bear incorporation expenses?
- Special rights to promoters/others?

PUBLIC COMPANY VALUATION
- Non-cash consideration & acquired property (2)(a,b) must be valued by **CERTIFIED ENGINEER OR ACCOUNTANT.**

SPECIAL RESOLUTION & DISCOUNT
- Issuing shares for non-cash needs **SPECIAL RESOLUTION.** Can be at a **DISCOUNT.**

VALUATION CRITERIA
Property valuation criteria as prescribed. Valuer must **disclose used criteria.**

LIMITS ON NON-CASH SHARES
Not exceed **20%** of Paid-up Capital. **Exception: REG STARTUP** limit **40%.**

EMPLOYEE SHARES
Granted for remuneration/allowances if supported by **WRITTEN AGREEMENT.**

INCONSISTENT PROVISIONS
Any MOA provision inconsistent with this Act is **VOID.**

PRESCRIBED FORMAT
MOA shall be in the **prescribed format.**

Based on Companies Act Provisions.

Section 19: Signature on Memorandum of Association

SIGNATURE REQUIREMENTS & PROMOTER SUBSCRIPTION

(1)

PROMOTERS

DETAILS

- FULL NAMES
- ADDRESSES
- SUBSCRIBED SHARES

LEGAL FRAMEWORK

SIGNATURES

(2)

WITNESS

WITNESS DETAILS

- NAME
- ADDRESS
- SIGNATURE

WITNESS

(3)

PROMOTER SHARES
The number must be explicitly stated

IF NOT STATED...

AT LEAST **100** SHARES

AT LEAST **100** SHARES

LEGAL FRAMEWORK

POST-INCORPORATION CORRECTIONS (MINORS & TYPOS)

INCORPORATION

WITHIN 1 YEAR

COMPLIANCE GUIDE

LEGAL FRAMEWORK

(4)

BOARD DECISION

APPLICATION TO OFFICE

MINOR MISTAKES, TYPOS, PRINTING ERRORS

CORRECT MINOR ERRORS

COMPLIANCE GUIDE

(5)

REGISTRY OFFICE

EXAMINATION

RECTIFY & RECORD CORRECTIONS

EXCEPTION:
NO ALTERATIONS TO MAIN OBJECTIVES

COMPLIANCE GUIDE

SECTION 20: ARTICLES OF ASSOCIATION (AOA)

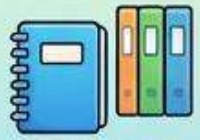
(1) A company shall prepare AOA to achieve objectives stated in the MOA and manage its affairs properly.

(4) The AOA shall be in the prescribed format.

GOVERNANCE & MEETINGS

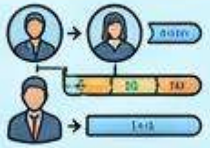
(a) General meeting procedures & notice

(b) Proceedings of general meetings



(d) Minutes of meetings & inspection

DIRECTORS & THE BOARD



(c) Number, tenure, & alternate directors

(e) Minimum shares to be a director

(f) Independent directors - qualifications & number

(g) Professional directors - appointment & tenure

(h) Powers & duties of Board & Managing Director

(i) Delegation of authority

(i) Board of authonjy

(j) Board meetings - notice, quorum, procedures

SHARES & CAPITAL

(k) Lien on shares

(l) Classes of shares, rights, powers, restrictions

(m) Calls on shares & forfeiture

(n) Transfer of shares

(o) Alteration of share capital

(p) Buy-back of shares

COMPANY ICON

OTHER KEY PROVISIONS

(q) Appointment of Company Secretary

(r) Directors' remuneration, allowances, facilities

(s) Use of company seal

(t) Accounts, books of account, & audit

(u) Power to raise loans or issue debentures

(v) Amalgamation of the company

(w) Specific business legal requirements

(x) Other necessary matters

LEGAL FRAMEWORK

LEGAL FRAMEWORK

(3) Any AOA provision inconsistent with this Act or the MOA is void to the extent of the inconsistency.

SECTION 21 | AMENDMENT TO MOA AND AOA

1. GENERAL AMENDMENT PROCESS

Special Resolution Passed
(subject to Sec 6)

2. FILING WITH THE OFFICE

Inform Office within 30 days

Office Records & Notifies within 7 days

3. CHANGE OF COMPANY NAME

- ✔ **Special Resolution**
- ✔ **Prior Office Approval**
- ✔ **Submit Prescribed Fees**

SHAREHOLDER CHALLENGE (PUBLIC CO. OBJECTIVES)

4. CHALLENGE IN COURT IF:

(a) MIN. 5% SHARES: Shareholder(s) holding at least 5% paid-up capital (excluding those supporting)

(b) WITHIN 21 DAYS: Petition filed within 21 days of resolution

(c) WRITTEN AUTHORIZATION: Petitioner properly authorized in writing (if on behalf of others)

5. COURT HEARING CONDITIONS

Court hears **ONLY IF** company is informed

Exception: If company refuses notice

6. EFFECT DURING PENDING CASE

Amendment does **NOT** take effect while case is pending

7. COURT'S POWERS & ORDERS

(a) VALID or VOID: Declare fully/partly valid or void

(b) PURCHASE SHARES: Order company to purchase dissenting shares at reasonable value

(c) FUNDS: Allow purchase from Sec 61(2) funds or capital reduction

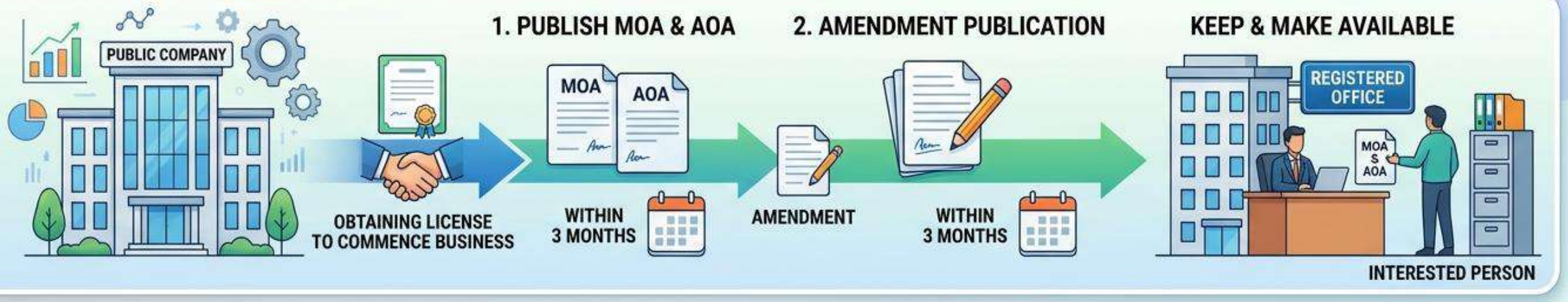
8. RESTRICTIONS AFTER VOIDANCE

Company cannot re-make similar amendment without **Court Permission/Order**

9. EFFECT OF COURT ORDERS

Court-ordered alteration/endorsement has same effect as GM approval

SECTION 22: MOA AND AOA TO BE PUBLISHED



SECTION 23: PROSPECTUS TO BE PUBLISHED

PROSPECTUS PUBLICATION PROCESS

1 DRAFT PROSPECTUS

DRAFT PROSPECTUS

2 DIRECTORS' SIGNATURES

DIRECTORS' SIGNATURES

3 SUBMIT TO SEBON

SUBMIT TO SEBON

4 SEBON APPROVAL

SEBON MAY REQUIRE AMENDMENT

SEBON APPROVAL

5 SUBMIT TO THE OFFICE & REGISTER

OFFICE MAY REFUSE REGISTRATION (if non-compliant)

THE OFFICE (REGISTRAR OF COMPANIES)

6 PUBLISH PROSPECTUS

REGISTERED COPIES AVAILABLE (with fee)

IMPORTANT CONTENT REQUIREMENTS

APPROVED BY SEBON & REGISTERED WITH OFFICE (DATES)

COVER PAGE STATEMENT: Neither SEBON nor Office responsible for contents

COMPANY COMPLIANCE DECLARATION

GUIDELINE ON COMPANY LEGAL COMPLIANCE

SECTION 24: LIABILITY FOR PROSPECTUS CONTENTS

COMPANY MUST COMPLY WITH PROSPECTUS MATTERS

DIRECTORS WHO SIGN ARE RESPONSIBLE

ANGRY INVESTOR

DELIBERATE/MALICIOUSLY FALSE STATEMENTS

✗ PERSONALLY LIABLE FOR ACTUAL LOSS

EXCEPTIONS (NOT LIABLE IF):

- ✓ RESIGNED BEFORE DECISION TO PUBLISH
- ✓ PUBLICLY DISCLOSED FALSE STATEMENT BEFORE SALE/ALLOTMENT
- ✓ PROVES LACK OF KNOWLEDGE

SECTION 25: DUPLICATE COPIES OF DOCUMENTS

MAY OBTAIN DUPLICATE COPIES (FEES APPLY)

MOA, PROSPECTUS, ANNUAL ACCOUNTS, AUDIT REPORT, DIRECTORS' REPORT

PUBLIC COMPANY

ANY PERSON

COMPANY

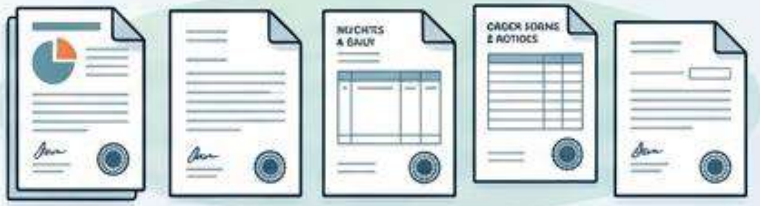
GOVERNMENT OFFICE

IF COMPANY FAILS, THE OFFICE PROVIDES COPIES FROM RECORDS (FEES APPLY)

SECTION 26: COMPANY SEAL AND ITS USE

INTENDING TO USE A SEAL

COMPANY NAME IN CLEAR LETTERS



REPORTS & RECORDS | BUSINESS LETTERS | INVOICES & BILLS & NOTICES | NEGOTIABLE INSTRUMENTS & PROMISSORY NOTES

PERSONALLY LIABLE IF SIGNING WITHOUT INDICATING COMPANY NAME

Chapter 4 Shares And Debentures

Section 27 : Face value of shares and application
Section 28 : Allotment of shares
Section 29 : Power to issue shares at premium
Section 30 : Shares with different rights and rights of such shareholders
Section 31 : Return of shares to be filed with office
Section 32 : Dealing in securities
Section 33 : Share certificate
Section 34 : Raising loans or issuing debentures
Section 35 : Procedures for issuing debentures
Section 36 : Agreement to be concluded between debenture trustee and company
Section 37 : Inquiry and demand of statements by debenture trustee
Section 38 : Company to submit periodic statements to debenture trustee
Section 39 : Rights and liabilities of debenture trustee
Section 40 : Service charges to be collected by debenture trustee
Section 41 : Debenture trustee to have rights of debenture-holder
Section 42 : Sale or pledge of shares or debentures
Section 43 : Transmission of shares or debentures
Section 44 : Refusal to register share or debenture
Section 45 : Other circumstances where shares or debentures may be transmitted
Section 46 : Shareholder and debenture-holder register
Section 47 : Information on title to share
Section 48 : Address of shareholder
Section 49 : Index of shareholders
Section 50 : Substantial shareholders
Section 51 : Inventory of shares, debentures and loans
Section 52 : Lien on shares
Section 53 : Payment of amount for shares
Section 54 : Payment of amount of shares held jointly
Section 55 : Ownership of shares and debentures
Section 56 : Power of company to alter its share capital
Section 57 : Reduction of share capital
Section 58 : Procedures for obtaining approval of Court to reduce share capital
Section 59 : Liability of shareholders in respect of reduced share capital
Section 60 : Directors to be responsible in the case o f loss of net worth of company
Section 61 : Prohibition on purchase by company of its own shares
Section 62 : Prohibition on providing loan or financial assistance by company to purchase its own shares
Section 63 : To obtain approval for commencing business
Section 64 : Prohibition on issue or sale of shares at a discount
Section 65 : Preference shares
Section 66 : Restriction on minor and person disqualified under law to make contract to be promoter
Section 66A : Employee Share Sale Scheme

GUIDE TO NEPALESE COMPANY SHARES: SECTIONS 27 & 28

SECTION 27: FACE VALUE & APPLICATION

1. PRIVATE COMPANIES

Face value of shares specified in its **ARTICLES OF ASSOCIATION** (AOA).

2. PUBLIC COMPANIES

Face value = **NPR 50 OR HIGHER AMOUNT** (Divisible by 10) as per MOA & AOA.

3. SHARE APPLICATION PAYMENT

MAXIMUM 50% OF FACE VALUE demanded at application.

EXCEPTION: Company operating **≥ 3 YEARS** with **AUDITED FINANCIALS** for last 3 years.

4. APPLICATION FORMAT

Apply in the **PRESCRIBED FORMAT.**

SECTION 28: ALLOTMENT OF SHARES

1. ALLOTMENT DEADLINE

Allot shares & notify shareholders within **3 MONTHS** from the closing date.

NO ALLOTMENT IF < 50% OF SHARES SUBSCRIBED/UNDERWRITTEN.

2. EXTENSION OF ALLOTMENT

If not allotted, apply to **OFFICE** within **7** days. Office can extend up to **3 MONTHS.**

If still not allotted, through **NEGOTIATION OR OTHER METHODS.**

3. FAILURE TO ALLOT & REFUNDS

If not allotted, **REFUND APPLICATION MONEY** with **PRESCRIBED INTEREST.**

5. INVESTOR PROTECTION & LEGAL RECOURSE

(Investor) can file **COURT PETITION** for discriminatory allotment or loss.

4. PROMOTER LIABILITY

If company funds insufficient, **PROMOTERS PERSONALLY BEAR THE SHORTFALL.**

6. OFFICER LIABILITY

Court may order responsible officer to **PERSONALLY COMPENSATE** loss & pay **LEGAL EXPENSES** for deliberate violation.

SECTION 29: ISSUE OF SHARES AT PREMIUM

ISSUANCE RULES

PUBLIC COMPANIES (PUBLIC ISSUE)

Issue as per prevailing securities law.

PRIVATE OR OTHER PUBLIC COMPANIES

Requires General Meeting (GM) approval

Assets > Liabilities

SHARE PREMIUM ACCOUNT (CREDIT)

USES OF SHARE PREMIUM ACCOUNT

- Issue fully paid bonus shares
- Payment of premium on redemption of preference shares
- Writing off preliminary expenses
- Payment or adjustment of share issue commission/discount

SECTION 30: SHARES WITH DIFFERENT RIGHTS & SHAREHOLDER RIGHTS

DIFFERENT CLASSES OF SHARES

Class A — Dividends, Voting

Class B — Dividends, Voting

Class A, Class B, Class B, Class C

As provided in MOA & AOA

CHANGING SHAREHOLDER RIGHTS

1. SPECIAL RESOLUTION of that class (Board proposal)
2. Requires Class Approval
3. Cannot harm another class

CHALLENGING RIGHTS CHANGE (Court Process)

10%

- Shareholders with >= 10% challenge
- File in COURT
- Within 30 Days
- Suspended period (暂停)
- Prejudicial? Quash Allowed

PRIVATIZATION: NEPAL GOVERNMENT SPECIAL VOTING RIGHTS

List of specific areas where they have votes while the investment continues:

- Transfer of undertaking
- Voluntary liquidation
- Amalgamation, as provided in AOA

COMPANIES ACT SECTIONS: SHARE ISSUANCE & SECURITIES DEALING

SECTION 31: RETURN OF SHARES
(Filing with Office)

(1) ALLOTMENT OF SHARES (General)

- Number of shares issued and allotted
- Names and addresses of allottees
- Total share amount
- Amount paid or payable on each share

(2) SHARES ALLOTTED FOR CONSIDERATION OTHER THAN CASH

FILE ADDITIONAL DOCUMENTS

- Title deed or relevant contract
- Details of number and nominal value of shares allotted
- Extent to which shares are treated as paid-up

SECTION 32: DEALING IN SECURITIES
(Public Companies)

(1) LICENSED SECURITIES DEALER REQUIRED

(2) FILING AGREEMENT WITH THE OFFICE

GUIDE TO SHARE CERTIFICATES
(SECTION 33)

1. ISSUANCE & SIGNATURES

WITHIN 2 MONTHS of Allotment in prescribed format.

PUBLIC COMPANY

Signed by any two of:

- Director
- Chief Executive
- Company Secretary

PRIVATE COMPANY

As per Articles of Association (AOA) or Consensus Agreement

COMPANY SEAL Affixed, if available

2. JOINTLY HELD SHARES

Certificate issued to **ANY ONE joint holder.**

ALL NAMES must be in **Shareholder Register.**

3. LOST OR DESTROYED CERTIFICATES

SHAREHOLDER MUST IMMEDIATELY INFORM the Company.

4. ISSUING DUPLICATE CERTIFICATES

AFTER VERIFICATION, Company issues Duplicate certificate on payment of prescribed fees. **Recorded in the Register.**

5. LISTED COMPANIES

(Sec 46(6))

Using Securities Registrar, a **DEPOSITORY PASSBOOK** or equivalent may be issued instead of Share Certificate.

6. PRIMA FACIE EVIDENCE

Certificate under Seal & Authorized Signatures is **Prima Facie Evidence Evidence of OWNERSHIP** of Shares/Debentures.

7. EXEMPTION

Certificate requirement does **NOT** apply if allotted/transferred through **LICENSED SECURITIES DEALER.**

*Consult legal counsel for specific advice

SECTION 34 & 35: CORPORATE GUIDELINES FOR RAISING LOANS OR ISSUING DEBENTURES

SECTION 34: RAISING LOANS & DEBENTURES

1 GENERAL PROVISIONS (PUBLIC COMPANY)

- 'State Reason for Borrowing'
- 'Work Plan & Budget for Use of Funds
- 'With or Without Mortgage/Pledge of Immovable Assets

PRE-CONDITIONS FOR DEBENTURES

- 'Obtained Approval to Commence Business
- Issued Capital Fully Paid Up

2 RAISING ADDITIONAL LOANS/DEBENTURES

- From Same Creditors
- Within Existing Security Limit
  - Existing Creditors
  - Existing Loan Amount

3 OTHER RULES

CORPORATE FINANCE

- Terms Governed by Contract (Interest, Repayment, etc.)
- Inform the Office (with Reasons)

SECTION 35: PROCEDURES FOR ISSUING DEBENTURES

1 APPOINT LICENSED DEBENTURE TRUSTEE

2 AGREEMENT GOVERNS RELATIONSHIP

Before Issuing Debentures

3 CONVERTIBLE DEBENTURES

Stated in Prospectus

4 COURT ORDER FOR SPECIFIC PERFORMANCE

Court Order if Necessary

Subscription Contract

SECTION 36: AGREEMENT BETWEEN DEBENTURE TRUSTEE AND COMPANY

① **COMPANY ISSUING DEBENTURES** enters into an **AGREEMENT** with **SYSTE** with **DEBENTURE TRUSTEE** to **PROTECT DEBENTURE-HOLDERS' INTERESTS.**

② AGREEMENT SHALL INCLUDE:

(a) Right of trustee to **INSPECT/ASSESS** company assets, projects, and management.

(b) Details of **REPAYMENT, INTEREST, REPAYMENT MODE,** and **CONVERSION** into shares (if applicable).

(c) Rights of other **CREDITORS** and **RELATED LIABILITIES.**

(d) Power of trustee to **TAKE** of assets or **SELL SECURITIES** if terms are violated.

(e) Payment terms for **TRUSTEE FEES AND EXPENSES.**

(f) Trustee is **NOT LIABLE** for losses caused while acting in that role.

(g) In **LIQUIDATION,** trustee may act on behalf of debenture-holders and take **LEGAL ACTION.**

(h) Other **PROTECTIVE TERMS** for debenture-holders.

③ **DEBENTURE TRUSTEE MAY TAKE & REGISTER SECURITY** over company assets in his name under prevailing law.

Trustee registering → Trustee registered deeds → Seals on property documents

④ **BEFORE TAKING SECURITY,** the trustee may conduct **VALUATION, PROJECT ANALYSIS,** or **MANAGEMENT ANALYSIS.**

Calculators · Property values · Risk assesssment · Risk assessment analysis

⑤ **AFTER THE AGREEMENT,** company must obtain **APPROVAL** of the debenture trustee (if required under agreement) before proceeding further.

Company requesting → Trustee marking → Green light → Proceed

OBLIGATIONS OF A COMPANY TO A DEBENTURE TRUSTEE

SECTION 37: INQUIRY BY DEBENTURE TRUSTEE (BEFORE AGREEMENT)

- ☑ (a) MOA/AOA allows borrowing or issuing debentures & Board
- ☑ (b) MOA/AOA allows issuance through a debenture trustee
- ☑ (c) Company assets are sufficient to cover debentures
- ☑ (d) Other creditors and liabilities
- ☑ (e) Balance sheet and auditor's report
- ☑ (f) Any other necessary information

COMPANY MUST PROVIDE ALL SUCH INFORMATION WHEN DEMANDED.

SECTION 38: PERIODIC STATEMENTS TO DEBENTURE TRUSTEE (AFTER AGREEMENT)

1 FINANCIAL STATEMENTS

Submit financial statements every 6 months

2 NOTIFY CHANGES (WITHIN 7 DAYS)

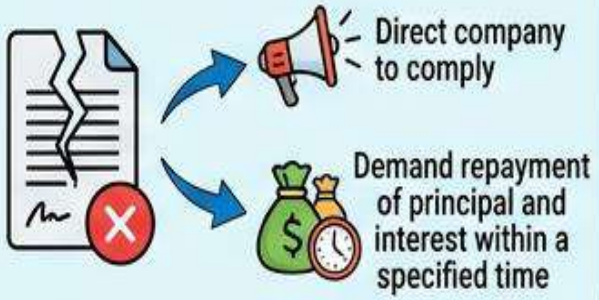
Management changes
OR
Ownership changes
after issuing debentures

3 ADDITIONAL INFORMATION

Trustee may demand additional info *at any time*. Company is obliged to provide

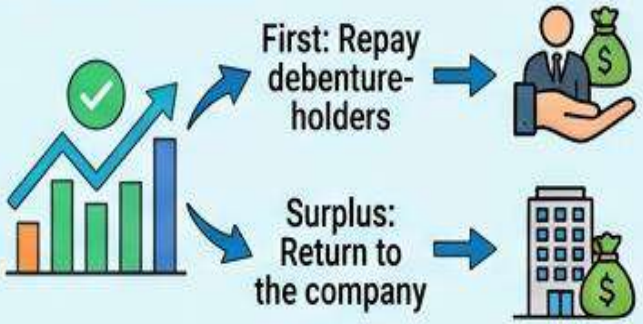
SECTION 39: RIGHTS AND LIABILITIES OF DEBENTURE TRUSTEE

(1) If Company Violates Agreement



(2) If Needed, Trustee May

(3) Sale Proceeds



(4) Insufficient Proceeds

NO PERSONAL LIABILITY

Trustee is not personally liable for the shortfall

EXCEPTION: except if trustee buys the assets

(5) & (6) Removal and Appointment

SECTION 40: SERVICE CHARGES OF DEBENTURE TRUSTEE

(1) Trustee may charge service fees as agreed in the debenture agreement

(2) Trustee may recover all **actual expenses** incurred in

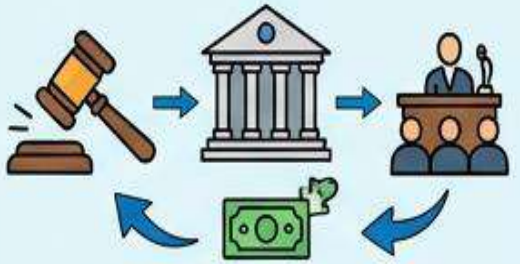
ACTUAL EXPENSES

SECTION 41: DEBENTURE TRUSTEE'S RIGHTS OF DEBENTURE-HOLDERS

(1) In case of liquidation or insolvency, the trustee represents **all debenture-holders**

REPRESENTS ALL

(2) The trustee may file and conduct **legal proceedings** on behalf of debenture-holders for recovery of principal and interest



LEGAL PROCEEDINGS FOR RECOVERY

Source: Section 39, 40, and 41

UNDERSTANDING SECTION 42 & 43:
SALE, PLEDGE, & TRANSMISSION OF SHARES OR DEBENTURES

SECTION 42: SALE OR PLEDGE OF SHARES OR DEBENTURES

① GENERAL RULE

Shares/Debentures can be sold or pledged as MOVABLE PROPERTY, subject to the Act, MOA, and AOA.

② PROMOTER RESTRICTIONS

First General Meeting Held

All Calls on Shares fully paid

PROMOTERS cannot sell or pledge shares before these conditions are met. (Except certain private companies not borrowing loans)

③ PROCEDURE FOR PLEDGING (By Pledgee)

Apply to the company with:

- Prescribed Form & Fees
- Pledge Deed
- Share/Debenture Certificate

④ COMPANY'S ACTION

RECORD the pledge in the register.
REMOVE it once the pledge is released (upon payment).

SECTION 43: TRANSMISSION OF SHARES OR DEBENTURES

① APPLICATION FOR TRANSFER (By Buyer)

Buyer applies to the company for registration with:

- Transfer Deed
- Share/Debenture Certificate
- Prescribed Form & Fees

② REGISTRATION PROCESS

Company shall register the transfer by:

- REMOVING Transferor's Name
- ENTERING Transferee's Name

③ SECURITIES LAW EXCEPTION

No Transfer Deed required if securities law allows (e.g., electronic/demat).

④ APPLICATION BY TRANSFEROR

If Transferor submits signed transfer deed, it's a valid application.

⑤ OPERATION OF LAW (TRANSMISSION)

If ownership acquired by **OPERATION OF LAW**, the company shall register the new holder.

SECTIONS 44 & 45: REFUSAL TO REGISTER SHARE OR DEBENTURES & OTHER TRANSMISSION CIRCUMSTANCES

SECTION 44: REFUSAL TO REGISTER SHARE OR DEBENTURE

(1) A company may refuse to register a pledge or transmission of shares/debentures if:

(a) ANY CALL ON SHARES NOT PAID

Unpaid money on shares

(b) TRANSFER AGAINST AOA OR SHAREHOLDER AGREEMENT

Violates company internal rules or agreements

(c) REQUIRED TRANSFER FEES NOT PAID

Fees not submitted with the application

(2) IF REGISTRATION IS REFUSED, the company informs both parties (transferor and transferee/pledgee) within 15 days of the application.

SECTION 45: OTHER CIRCUMSTANCES FOR TRANSMISSION OF SHARES/DEBENTURES

Acquisition by Operation of Law

- DEATH
- INSOLVENCY
- OTHER LEGAL REASONS

Person acquires shares/debentures

Applies with PROOF to the Company

Company registers transmission in applicant's name (upon valid application)

IMPORTANT PROVISO

Legal heir executes transfer instrument → Share treated as already transferred to the successor

Even if formal transfer not completed

SECTION 46: SHAREHOLDER AND DEBENTURE-HOLDER REGISTER

EVERY COMPANY SHALL MAINTAIN SHAREHOLDER AND DEBENTURE-HOLDER REGISTERS IN PRESCRIBED FORMAT.

SHAREHOLDER REGISTER DETAILS (Subsection 2)

- a) Full name and address
- b) Number of shares held
- c) Amount paid and unpaid on shares
- d) Date of becoming shareholder
- e) Date of removal from register
- f) Nominee details (if any)

DEBENTURE-HOLDER REGISTER DETAILS (Subsection 3)

- a) Full name and address
- b) Number of debentures held
- c) Amount paid and unpaid
- d) Date of entry in register
- e) Date of removal from register
- f) Nominee details (if any)

INSPECTION AND COPY OF REGISTER (Subsections 4 & 5)

PUBLIC COMPANIES

MAY CLOSE INSPECTION → newspaper

- 7 DAYS' NEWSPAPER NOTICE
- UP TO 30 DAYS AT A TIME, MAX 45 DAYS/YEAR

PRIVATE COMPANIES

AOA

MAY RESTRICT INSPECTION AS PER AOA OR AGREEMENT

RIGHT TO INSPECT

RIGHT TO COPIES

MAY BE ISSUED ON PAYMENT OF PRESCRIBED FEES.

NOT ALLOWED DURING CLOSED PERIODS.

LISTED COMPANIES (DEPOSITORY SYSTEM) (Subsection 6)

SECURITIES REGISTRAR

- MAY USE A SECURITIES REGISTRAR TO MAINTAIN THE REGISTER.
- KEEP A COPY AT REGISTERED OFFICE BEFORE EACH AGM.
- MUST INCLUDE ALL DETAILS FROM SUBSECTIONS (2) AND (3).

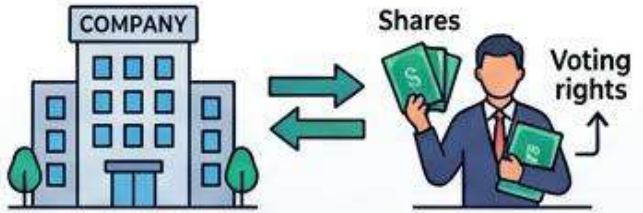
LIABILITY FOR FALSE ENTRIES (Subsection 7)

PUNISHMENT UNDER SECTION 160 → REGISTRAR AND RESPONSIBLE OFFICERS

COMPENSATION FOR LOSS OR DAMAGE → AFFECTED PERSON

SUMMARY OF SHAREHOLDER REGISTRATION REGULATIONS: SECTIONS 47, 48, 49

SECTION 47: INFORMATION ON TITLE TO SHARES



COMPANY REQUESTS DISCLOSURE

- How shares acquired?
- Other beneficial ownership?

SHAREHOLDER MUST PROVIDE INFO WITHIN 30 DAYS

COMPANY ACTIONS

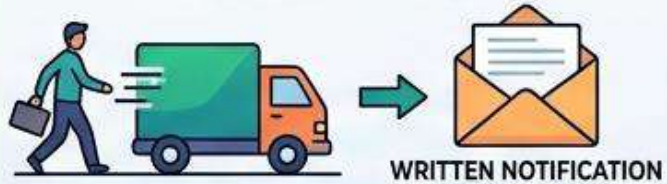
RECORD IN REGISTER

INFORM THE OFFICE WITHIN 7 DAYS

SECTION 48: ADDRESS OF SHAREHOLDER

ADDRESS IN REGISTER IS OFFICIAL

ADDRESS CHANGE



SHAREHOLDER NOTIFIES COMPANY IMMEDIATELY

COMPANY UPDATES REGISTER

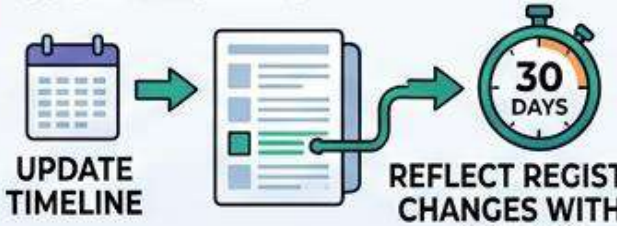
VALID SERVICE

NOTICES SENT ARE VALIDLY SERVED

SECTION 49: INDEX OF SHAREHOLDERS

COMPANIES WITH MORE THAN 50 SHAREHOLDERS

MUST MAINTAIN INDEX (unless register is index)

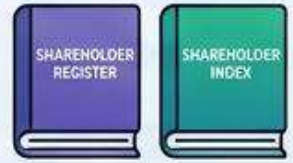


UPDATE TIMELINE

REFLECT REGISTER CHANGES WITHIN 30 DAYS

FUNCTION & LOCATION

ALLOWS EASY IDENTIFICATION



KEPT WITH SHAREHOLDER REGISTER

NON-COMPLIANCE = ACT VIOLATION

SECTION 50: SUBSTANTIAL SHAREHOLDERS

1. WHAT MAKES YOU A SUBSTANTIAL SHAREHOLDER?
(Subsection 1)

GENERAL RULE:
5% OR MORE OF PAID-UP CAPITAL
(directly or through an agent)

EXCEPTION:
NPR 250M+ PAID-UP CAPITAL,
1% OR MORE IS SUBSTANTIAL

2. NOTIFYING OF BECOMING A SUBSTANTIAL SHAREHOLDER
(Subsection 2)

3. NOTIFYING OF CEASING TO BE A SUBSTANTIAL SHAREHOLDER
(Subsection 3)

COMPANY'S RESPONSIBILITY
(Subsection 4)

EVERY PUBLIC COMPANY MUST MAINTAIN A SEPARATE REGISTER OF SUBSTANTIAL SHAREHOLDERS

SUMMARY

Lorem public company must monsectetur adipiiscing elit, sed do eiusmnt temporarnuroremboc n incidunt ut doles magne magna aliqua. Uiantim anom ad minim veniam quis nostrud exercitation ullamco laboris nisi ut aliquip ex ea commodo consequat. Duis aute irure dolor in reprehenderit in voluptate velit esse cillum dolore eu fugiat nulla pariatur. Excepteur sint occaecat cupidatat non proident, sunt in culpa qui officia deserunt mollit anim id est laborum.

SECTION 51: INVENTORY OF SHARES, DEBENTURES, AND LOANS

A (1) AGM Timeline

AGM

21 Days Before AGM

SHAREHOLDERS & DEBENTURE-HOLDERS (Current & Ceased)

B (2) Inventory Contents

- (a) Authorized Capital & Shares
- (b) Issued Share Capital
- (c) Paid-Up Capital
- (d) Calls Made
- (e) Instalments Paid
- (f) Amount Due
- (g) Brokerage Paid
- (h) Forfeited Shares (number, reason, date)
- (i) Loans & Guarantees from banks
- (i1) Investments in other companies
- (j) Existing Directors (names and addresses)

C (3), (4) Submission

Within 30 Days After AGM

OFFICE OF REGISTRAR

If no AGM is held, within 1 year of required approval under law

(4) Companies Without AGM
Within 6 Months After Financial Year-End

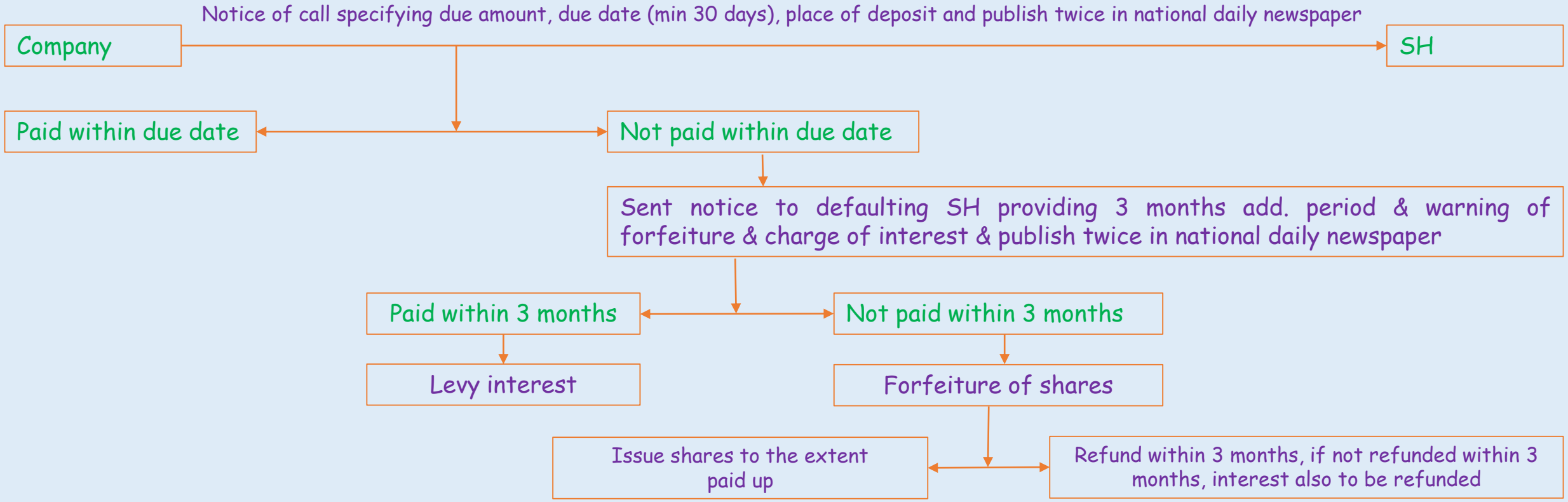
(5) Exception:
Not Required if Information Included in Section 78 Report

SECTION 52: LIEN ON SHARES

COMPANY ATTACHES SHAREHOLDER'S SHARES & DIVIDENDS TO RECOVER OWED MONEY

Company may recover dues from shares or deduct from dividends.

Sec 53 Payment of call on shares



Additional Provisions

- Forfeited shares may be **sold or disposed of by the board** as per articles of association
- **A profit-making company (3+ consecutive years)** may, **by special resolution**, decide not to call unpaid share capital except in liquidation/insolvency
- Such restriction on calls can be changed only by **another special resolution**, or in case of liquidation/insolvency

COMPANIES LAW GUIDE: SHARES & CAPITAL MANAGEMENT

JOINT SHAREHOLDERSHIP & OWNERSHIP DISPUTES

Sections 54 & 55

SECTION 54: PAYMENT OF AMOUNT OF SHARES HELD JOINTLY:

PROPORTIONAL & EQUAL LIABILITY

VALID DEED EXAMPLES:

- Holder A (30%)
- Holder B (30%)
- Holder C (40%)

PROPORTIONAL CALLS

NO DEED (ASSUMED EQUAL):

Equal 1/3	Equal 1/3	Equal 1/3

EQUAL LIABILITY

ALL JOINT HOLDERS ARE ASSUMED EQUAL.

SECTION 55: OWNERSHIP DISPUTES

REGISTERED OWNER PREVAILS

PERSON NAMED IN COMPANY REGISTER IS TREATED AS OWNER, UNLESS PROVEN OTHERWISE.

COMPANY POWER TO ALTER SHARE CAPITAL (I)

Section 56 (1)-(3)

SECTION 56 (1): ALTERING SHARE CAPITAL (SPECIAL RESOLUTION):

(a) INCREASE AUTHORISED CAPITAL BY ISSUING NEW SHARES

Grow Capital Base.

(b) CONSOLIDATE OR DIVIDE SHARES: INTO LARGER OR SMALLER VALUES

e.g., 10 shares of $1 → 1 share of $10
OR 1 share of $10 → 10 shares of $1.

(c) CANCEL UNISSUED/FORFEITED SHARES & REDUCE CAPITAL AND REDUCE CAPITAL ACCORDINGLY

Streamline Capital (NOT A REDUCTION OF SHARE CAPITAL under (4)).

SECTION 56 (2)-(3): AUTOMATIC AMENDMENTS & OFFICE SUBMISSION

MEMORANDUM & ARTICLES Automatically Amended (by special resolution).

COMPANY MUST SUBMIT Resolution & Fees to **OFFICE** (e.g., Registrar).
OFFICE RECORDS change & **INFORMS** within **7 DAYS.**

COMPANY POWER TO ALTER SHARE CAPITAL (II) - CAPITAL INCREASE

Section 56 (5)-(10)

CAPITAL INCREASE MECHANISMS

ORDINARY RESOLUTION INCREASE: TO INCREASE ISSUED UP TO AUTHORISED CAPITAL (5).

- Use ordinary resolution if needed.

SECURITIES LAW PROCEDURES for Public Companies (6):
EXCEPTION: Follow Securities Law, unless issuing:

- Bonus shares
- Rights shares (shareholders/employees)
- Shares under Section (9)

RIGHTS ISSUE PROCEDURES:

ADVERTISE in National Newspaper At least 3 Times **BEFORE** 15 Days of Issue (7).

EXISTING SHAREHOLDERS' FIRST RIGHT to Subscribe Pro-rata (8).

TIME LIMIT: Give Shareholders **AT LEAST 35 DAYS** to Subscribe (11).

UNSOLD RIGHTS: May be Transferred/Sold by the **BOARD** (11).

SECTION 56 (10): PROHIBITION ON ASSET REVALUATION

NO SHARE CAPITAL OR BONUS SHARES FROM ASSET REVALUATION!

ONLY FROM PROFITS OR PROFIT RESERVES.

EXCEPTIONS TO PRE-EMPTIVE RIGHTS

Section 56 (9)

NO PRE-EMPTIVE RIGHTS (FIRST RIGHT) APPLIES TO:

(a) Non-cash issued shares
Hand over shares to a physical object, e.g., machine

(b) Contract-based allotments
Document and handshake

(c) Employee share schemes
Group of employees with share awards

(d) Creditor agreements
Hand over shares to a "CREDITOR" with a loan agreement

(e) Conversion of preference shares/debentures
Hand holding preference shares into common shares

(f) Restructuring, insolvency, or agreed management arrangements

BOARD MAY ALLOT SHARES IN SUCH CASES.

SECTION 57: REDUCTION OF SHARE CAPITAL

REQUIREMENTS & PROHIBITION

- **SPECIAL RESOLUTION** (Shareholder vote)

- **COURT APPROVAL** (Required)

- **AMEND MoA & AoA** (Change memorandum & articles)

PROHIBITION: INSOLVENT COMPANY cannot reduce capital (3)

METHODS OF REDUCTION (2)

(a) Reducing capital to match **UNPAID SHARE AMOUNTS**

(b) Paying back **PAID-UP CAPITAL** to shareholders

(c) Reducing **FACE VALUE** due to losses or natural calamity

SECTION 58: PROCEDURE FOR COURT APPROVAL

1. INITIATION

1. **FILE PETITION** to Court (after Special Resolution)
2. **PUBLISH PUBLIC NOTICE** in national daily (3 times) with hearing details

5. COURT HEARING & APPROVAL

2. CREDITOR INVOLVEMENT

3. **CREDITORS MAY FILE CLAIMS OR OBJECTIONS**
4. **Director/CS SUBMIT TRUE LIST OF CREDITORS** (names, addresses, debts)
5. **COURT MAY APPROVE** if Creditors are:
   - ✓ Paid in full OR
   - ✓ Claims secured/admitted OR
   - ✓ Arrangements made
6. Court may **EXEMPT SPECIFIC CREDITORS** from objection
8. Court will **CONFIRM REDUCTION** if conditions satisfied

POST-APPROVAL & LIABILITY

9. Temporarily **ADD 'CAPITAL REDUCED'** to name & publish notice

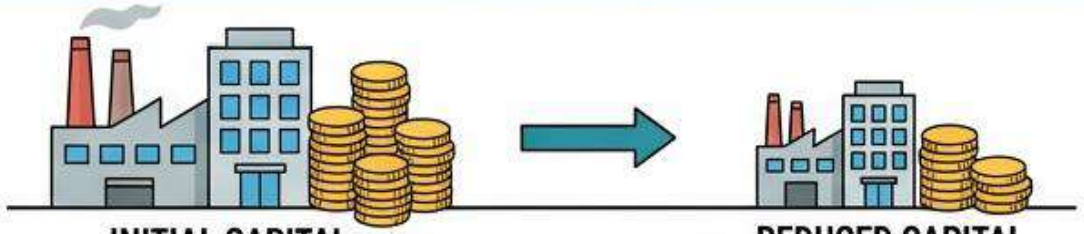
11. **COURT ORDER** automatically amends MoA/AoA

13. Director/CS **ENDORSE SHARE CERTIFICATES**

7. **PUNISHMENT FOR FALSE LIST** (unless good faith)
12. **PENAL LIABILITY** for concealing creditor info or false statements

SUMMARY OF SHAREHOLDER LIABILITY AND DIRECTOR RESPONSIBILITY (SECTIONS 59 & 60)

SECTION 59: SHAREHOLDER LIABILITY AFTER CAPITAL REDUCTION



MAX SHAREHOLDER LIABILITY (1)

[Reduced Value Fixed by Court] – [Amount Actually Paid/Deemed Paid] = Limit

EXCEPTION: OMITTED CREDITOR & INABILITY TO PAY

If creditor is left out from Court list AND company cannot pay, shareholders may become liable (3) (4)

A CREDITOR FAULT (2)

Shareholders not liable if creditor fault caused omission

B INABILITY TO PAY, OMITTED CREDITOR

LIABILITY LIMIT (3):
UP TO amount payable in immediate insolvency before confirmation date

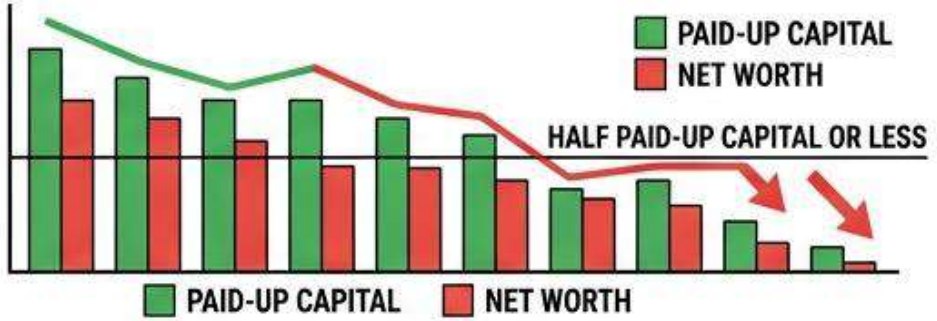
COURT PROCESS (4):
Creditor proves omission in insolvency. Court prepares list of liable shareholders, orders calls on shares.

ABSOLUTE LIMIT (5):

LIABILITY CANNOT EXCEED SUBSCRIPTION FACE VALUE

SECTION 60: DIRECTORS' RESPONSIBLITY WHEN NET WORTH FALLS

TRIGGER EVENT (1): PUBLIC COMPANY NET WORTH DROPS



WITHIN 35 DAYS

1. DIRECTORS PREPARE STRATEGY

2. PRESENT STRATEGY AT NEXT GENERAL MEETING OR CALL EGM

PENALTIES FOR FAILURE (2) (3)

LIABILITY TO PUNISHMENT
for failure to prepare/ present/present

COMPENSATION FOR LOSS
If bad faith or reckless conduct of a director

SECTION 61: PROHIBITION & CONDITIONS FOR COMPANY SHARE BUY-BACK

1) GENERAL RULE: PROHIBITION

No company shall purchase its own shares (buy-back) or lend money against security of its own shares.

2) EXCEPTIONS: WHEN A COMPANY MAY BUY BACK SHARES

a) Fully Paid Shares

b)

Listed in Securities Board (Public Company)

c)

Authorized by Articles of Association

d)

Special Resolution Adopted at General Meeting

e) Debt Ratio Limit

DEBT = secured/unsecured borrowings

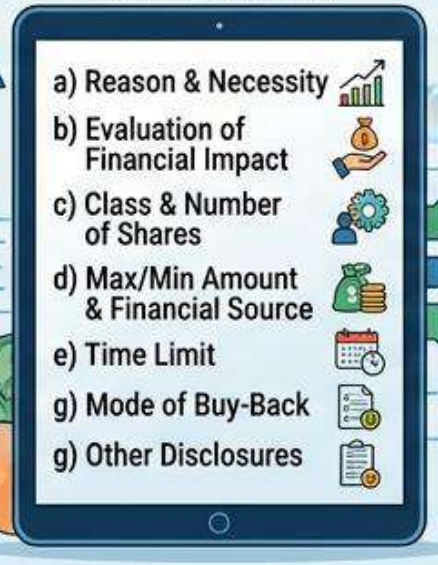
f)

Value of Shares <= 20% of Total Paid up Capital General Reserve Fund

g) Comply with Directives of Office

3) MATTERS STATED IN RESOLUTION

(Sub-section 2d)



4) MANNER OF BUY-BACK

(After Special Resolution)

12 months

- a) Stock Exchange Purchase
- b) Purchase from Employee (Allotted shares)
- c) Existing Shareholders (Proportionate basis)

12 months

POST BUY-BACK PROCEDURES

5) FILE RETURN WITH OFFICE

Within 30 Days

Shares bought back, amount paid, other details

6) ESTABLISH CAPITAL REDEMPTION RESERVE FUND

Transfer sum equal to nominal value

Maintained as paid-up capital

7) CANCEL SHARES

Within 120 Days

No re-issue of same class for 2 years (EXCEPTIONS: Bonus shares, liability payment)

9) PUBLIC COMPANY LIMITATIONS

No reduction in min shareholders or min paid-up capital

10) OTHER CONDITIONS & TERMS

Shall be as prescribed

MODERN LEGA, AND 64

SECTION 62:
PROHIBITION ON PROVIDING LOAN OR FINANCIAL ASSISTANCE BY COMPANY TO PURCHASE PURCHASE ITS OWN SHARES

A company cannot give loans or financial help to buy its own shares or its holding/subsidiary company's shares.

EXCEPTION

EMPLOYEE SHARE SCHEME

FULLY PAID-UP SHARES

SECTION 63:
TO OBTAIN APPROVAL FOR COMMENCING BUSINESS

PUBLIC COMPANY

- Cannot start business immediately | Must obtain Office Approval

INCORPORATION → APPROVAL → BUSINESS START

PRIVATE COMPANY

Can start business immediately after registration

- Must still comply with sector-specific approvals if required.

Private already in operation CONVERTS TO Public (No Approval Required to start)

CONDITIONS FOR APPROVAL

- Full payment of promoters' subscribed
- Minimum paid-up capital met
- Comply with sector regulator conditions

RESTRICTION No business activity allowed before approval (except internal activities)

SECTION 64:
PROHIBITION ON ISSUE OR SALE OF SHARES AT A DISCOUNT

A company is generally not allowed to issue shares at a discount.

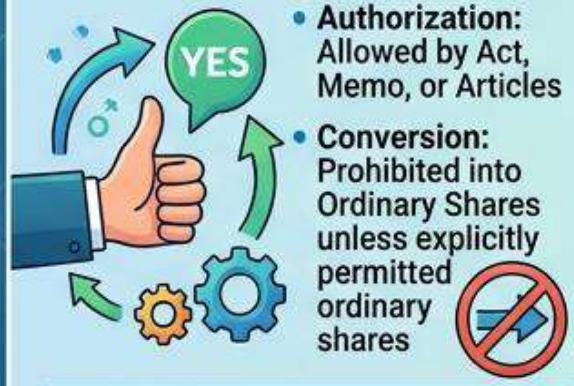
EXCEPTIONS
(ALLOWED via SPECIAL RESOLUTION)

- Capital Restructuring
- Conversion of loans into shares (LOAN → SHARES)
- Employee share schemes
- Other cases approved by the Office

INFOGRAPHIC: SECTION 65 & 66 - COMPANY REGULATIONS

SECTION 65 : PREFERENCE SHARES

ISSUANCE & CONVERSION



- **Authorization:** Allowed by Act, Memo, or Articles
- **Conversion:** Prohibited into Ordinary Shares unless explicitly permitted ordinary shares

MANDATORY DISCLOSURES

- **Must disclose** Dividend priority/rates
- Cumulative status
- Liquidation preference
- Voting rights
- Convertibility
- Redemption details

FINANCIAL RULES FOR REDEMPTION

- **Funding:** Fully paid shares
  - Redemption from profits or fresh issue
  - Separate fund for premiums
- **CRR Transfer:** Nominal values to Capital Redemption Reserve (CRR)

POST-REDEMPTION PROCEDURES

- **Cancellation:** Redeemed shares automatically cancelled (Doesn't reduce authorized capital)
- **New Shares:** Replacement shares or CRR for fully paid bonus shares
- **Reporting:** Notify Office within one month to update register

SECTION 66 : RESTRICTION ON MINORS & DISQUALIFIED PERSONS TO BE PROMOTERS

PROMOTER RESTRICTION

Minors under 16 & Legal disqualified individuals are ineligible.

Legally Unqualified to contract

INHERITANCE EXCEPTION

Disqualified or minors ***not*** prevented from acquiring subscribed shares via succession/law

TRADING VIA GUARDIAN

TRADING VIA GUARDIAN

When a minor/disqualified buys/sells shares or debentures, **transaction MUST be executed by a parent, spouse, or legal guardian.**

SECTION 66A

EMPLOYEE SHARE SALE SCHEME

Key Provisions of Employee Share Sale Scheme under Companies Act, 2063

1 Scheme to Issue/Allot Shares

The company may implement a scheme to issue or allot shares to a director or an employee of the company, its subsidiary, holding company, or subsidiary of holding company, enabling them to purchase shares.
(Director must be in regular employment of the company.)

2 Right Vested

The right to purchase or not to purchase shares under the scheme shall vest in the concerned director or employee.

3 Special Resolution Required

A special resolution must be passed by the general meeting of the company before implementing the scheme.

4 Scheme Must Include the Following Details

- (a) Number of shares to be issued or allotted
- (b) Details of eligible employees
- (c) Period for which option to purchase remains open
- (d) Purchase price of the shares
- (e) Number of shares each employee is entitled to purchase
- (f) Other appropriate matters

5 Lock-in Period

Shares purchased under this scheme shall not be sold or distributed during the lock-in period determined by the company.

6 Eligibility

An employee in service until the expiry of the option period may participate in the scheme.

7 Unpurchased Shares

If an employee does not purchase shares within the open period, such unpurchased shares may be opened for purchase by other employees.

8 Disclosure in Report

Details of issuance and purchase of shares under the scheme must be included in the report required under Section 109(4).

Objective: To promote employee participation and ownership in the company through a transparent and regulated share purchase scheme.

Chapter 5 Meeting Of Company

Section 67 : General meetings of company
Section 68 : Directors required to be present
Section 69 : Legality of meeting
Section 70 : Cases where attendance or voting in meeting is restricted
Section 71 : Right to vote in general meeting
Section 72 : Provision on voting in election of director
Section 73 : Quorum
Section 74 : Discussion and decision
Section 75 : Minutes to be kept
Section 76 : Annual general meeting
Section 77 : Matters to be presented and decided in annual general meeting
Section 78 : Report to be submitted to Office
Section 79 : Preparation of documents for annual general meeting
Section 80 : Return of annual general meeting to be forwarded to Office
Section 81 : Fine to be imposed in case of failure to submit returns
Section 82 : Extra-ordinary general meeting
Section 83 : Special resolutions to be presented
Section 84 : Provisions on sending abstract of financial statement to shareholders
Section 85 : Registration number to be mentioned

UNDERSTANDING COMPANY GENERAL MEETINGS

(Section 67)

TYPES OF GENERAL MEETINGS

- **ANNUAL GENERAL MEETING (AGM)**
- **EXTRA-ORDINARY GENERAL MEETING (EGM)**

NOTICE & PUBLICATION REQUIREMENTS (PUBLIC COMPANY)

PLACE, DATE, AGENDA

- **AGM:** AT LEAST 21 DAYS IN ADVANCE
- **EGM:** AT LEAST 15 DAYS IN ADVANCE

→ PUBLISH AT LEAST TWICE

ADJOURNED MEETING
If no new agenda, notice at least **7 DAYS** in advance in national daily newspaper.

DECISION-MAKING & AGENDA

AGENDA ITEMS FIRST
Matters included in the agenda sent with the notice shall be discussed and decided first.

MATTERS NOT NOTIFIED
No decision on matters not notified in advance.

EXCEPTIONS

(a)

67% VOTING SHARES present in person/proxy **VOTE IN FAVOR.**

(b)

Matter already notified for an adjourned meeting.

MEETING PROTOCOL & GENERAL PROVISIONS

LOCATION:
District of registered office or adjoining convenient place (Public Company, unless approved otherwise).

SHAREHOLDER LIST:
Available at venue for inspection (Names, Addresses, Shares).

CHAIRMAN'S POWER:
May adjourn meeting as required.
- Adjourned meeting has same powers.
- Resolutions valid on the date adopted.

CORPORATE BODY REPRESENTATION:
Appointed person may attend and vote.

VALIDITY:
Accidentally omitted notice or non-receipt by a shareholder of a listed company does NOT void proceedings.

PRIVATE COMPANIES (Special Rule) → **FOLLOW** Articles of Association or Consensus Agreement (Procedures & Matters). If none, → **ACT PROVISIONS APPLY**

GUIDELINES FOR GENERAL MEETINGS: SECTIONS 68, 69, & 70

SECTION 68

SECTION 68: DIRECTORS REQUIRED TO BE PRESENT

Every director should attend the general meeting as far as possible.

EXCEPTION:
CIRCUMSTANCES BEYOND CONTROL

PARTICIPATE VIA VIDEO CONFERENCE

Participa site to una video conference ttripastop

CAST VOTE ELECTRONICALLY

SECTION 69

LEGALITY OF MEETING

Before meeting starts, **shareholders verify convene is according to ACT and AOA**

1. NOTICE SENT TO ALL SHAREHOLDERS (Sec 67(2))

2. REQUIRED QUORUM PRESENT AND AGREEING (Sec 73)

MINOR NON-COMPLIANCE DOES NOT INVALIDATE

- If conditions met

SECTION 70

SECTION 70: RESTRICTIONS ON ATTENDANCE OR VOTING

RESTRICTED

RESTRICTIONS FOR SHAREHOLDERS

- Cannot vote on contracts with oneself

RESTRICTED

RESTRICTIONS FOR DIRECTORS (and partners/proxies)

- Cannot vote on appointment, removal, transfer, transfer
- Remuneration, allowances, terms
- Personal interest matters

OTHER RESTRICTIONS

UNPAID SHARE CALLS

Cannot vote on contracts with oneself

DIRECTOR PROXY

Proxtor acting with limited voting

PLEDGED SHARES DEFAULT

Suspended voting, Loan repayment is needed

COMPANIES ACT GUIDELINES

SHAREHOLDER VOTING RIGHTS & ELECTION OF DIRECTORS: SECTION 71 & 72

SECTION 71: RIGHT TO VOTE IN GENERAL MEETING

1) WHO CAN VOTE

PERSON REGISTERED AS SHAREHOLDER IN SHAREHOLDER REGISTER

Subject to Sec 70 & Articles of Association

ONE VOTE FOR EACH SHARE HELD

ATTEND GENERAL MEETING

2) PROXY VOTING

SHAREHOLDER MAY APPOINT ANOTHER PERSON AS PROXY

Unless prohibited by Articles of Association

PROXY ATTENDS AND VOTES

3) PROXY INSTRUMENT

EXECUTED IN PRESCRIBED FORMAT & SIGNED BY SHAREHOLDER

PROXY ATTENDS & VOTES

PROXY ATTENDS & VOTES
(Subject to Sec 72)

4) JOINT SHAREHOLDERS

TWO OR MORE PERSONS JOINTS SHAREHOLDERS

ORDER OF PRECEDENCE:

1. APPOINTED PARTNER
2. PROXY APPOINTED BY THAT PARTNER
3. PARTNER WHOSE NAME APPEARS FIRST in the shareholder register (Pursuant to Sec 46)

SECTION 72: PROVISION ON VOTING IN ELECTION OF DIRECTOR

1) VOTING POWER ON POLL

TOTAL VOTES = SHARES HELD × NUMBER OF DIRECTORS TO BE APPOINTED

HOW TO CAST VOTES

Subject to Articles of Association

- ALL VOTES FOR SINGLE CANDIDATE
- DIVIDE VOTES AMONG MULTIPLE CANDIDATES

2) CORPORATE BODY APPOINTMENT & VOTING

CORPORATE BODY

FILE CANDIDACY

APPOINTMENT IN PROPORTION TO SHAREHOLDING

May appoint directors based on shares

CONSEQUENCE

NOT ENTITLED TO CAST VOTE IN ELECTION

PROVIDED HOWEVER

INABILITY OR FAILURE TO APPOINT

When unable to appoint even one director OR failing to appoint

ACTION

'SHAREHOLDER'

PARTICIPATE & VOTE LIKE OTHER SHAREHOLDERS

LIMITATION

UP TO THE NUMBER OF ELECTABLE DIRECTORS IN PROPORTION TO SHARES

*FOR INFORMATIONAL PURPOSES ONLY. REFER TO THE COMPANIES ACT FOR OFFICIAL TEXT.

SECTION 73: QUORUM

PRIVATE COMPANY

AOA

AS SPECIFIED IN ARTICLES OF ASSOCIATION (AOA)

PUBLIC COMPANY

FIRST MEETING

3 & > 50% OF TOTAL SHARES (In Person or Proxy)

>50%

SECOND MEETING (If first failed)

3 & 25% OF TOTAL SHARES (In Person or Proxy)

25%

7-DAY NOTICE

EXEMPTIONS for specific Section 3(2) & 173(1) Companies

SECTION 74: DISCUSSION & DECISION

CHAIRING THE MEETING

BOARD CHAIRPERSON

DIRECTOR NOMINEE (If Chairperson Absent)

VOTING METHODS

SHOW OF HANDS | VOICE VOTING | POLL (Ballot Paper) | DIVISION OF GROUPS | OTHER METHODS AS PRESCRIBED

MAJORITY DECISION
deemed meeting decision (for most matters)

SPECIAL PROVISION

SPECIAL RESOLUTION

75% OF PRESENT SHARES VOTE IN FAVOUR

EQUAL VOTES

FOR | AGAINST

CHAIRPERSON EXERCISES CASTING VOTE
(Right to vote as a shareholder remains)

SECTION 75: MINUTES TO BE KEPT

KEY CONTENT	MINUTES BOOK
ISSUANCE OF NOTICE MANNER	
NUMBER OF SHAREHOLDERS PRESENT	
PERCENTAGE OF SHARE REPRESENTATION	
VOTING RESULTS	
CHAIRPERSON & COMPANY SECRETARY	OR CHAIRPERSON & REPRESENTATIVE OF SHAREHOLDERS

SENT TO SHAREHOLDERS WITHIN 30 DAYS
or
PUBLISHED IN NATIONAL DAILY NEWSPAPER (Optional)

REGISTERED OFFICE

KEEP AT REGISTERED OFFICE

SHAREHOLDER INSPECTION (During Office Hours)

COPY PROVIDED FOR FEES

ANNUAL GENERAL MEETING (AGM) GUIDELINES (SECTION 76 & 77)

SECTION 76: HOLDING THE AGM

FIRST AGM

Within **1 year** of obtaining permission to commence business.

SUBSEQUENT AGMs

Within **6 months** after the end of each financial year.

IF THE COMPANY FAILS TO HOLD AGM:

OFFICE directhe company to hold the AGM: → **IF STILL NOT HELD** within **3 months** of Office's direction:

SHAREHOLDER Petition → **THE COURT**

The Court may order the AGM or other appropriate orders.

☆ In a **Court-ordered AGM**, shareholders present are deemed to constitute a **valid quorum** (regardless of normal requirements).

These provisions also apply to a private company if its rules require an AGM.

SECTION 77: MATTERS & PROCESS FOR AGM

DIRECTORS MUST PRESENT:

1. Audited Annual Financial Statements (balance sheet, income statement)
2. Auditor's Report
3. Directors' Report

SHAREHOLDER INITIATIVES:

Shareholder(s) holding at least **5%** of voting rights may request adding a matter for discussion/decision (before AGM notice).

PRE-AGM PREPARATION (At least 21 days before):

A public company must:

1. Make financial statements, reports available for inspection & copies
2. Publish a notice in a national daily newspaper.
   - May disseminate via electronic media

AGM DECISIONS & LIMITATIONS:

AGM may decide on:

- Dividend distribution
- Appointment/remuneration of directors
- Appointment/remuneration of auditors
- Other matters required by Act/Articles

DIVIDEND LIMITATION: AGM cannot approve a higher dividend rate than recommended by the Board.

The company must provide requested copies of reports to any shareholder.

COMPLIANCE REPORT: KEY DISCLOSURES UNDER SECTION 78

Mandatory Submission for Public Companies Before AGM

SUBMISSION TIMELINE & APPROVAL

SUBMIT TO OFFICE

ANNUAL GENERAL MEETING

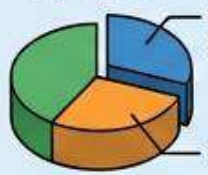
APPROVED BY BOARD OF DIRECTORS

CERTIFIED BY COMPANY AUDITOR

Theme 1: Equity & Capital

(a) TOTAL SHARES ALLOTTED

(b) PAID-UP & UNPAID SHARES



(d) SIGNIFICANT SHAREHOLDERS (5%+)

5% OR MORE PAID UP CAPITAL

DETAILS OF HELD SHARES/DEBENTURES

(e) SHARE PROCEEDS & NEW ISSUANCES

TOTAL SHARE SALE PROCEEDS

NEW SHARES & DEBENTURES ISSUED IN THE FINANCIAL YEAR

(g) PAYMENTS FOR SHARES OR OTHER MATTERS

DETAILS OF PAYMENTS MADE OR TO BE MADE

(n) UNCLAIMED DIVIDENDS

Theme 2: Key Personnel & Governance

(c) OFFICERS & REMUNERATION

PARTICULARS & REMUNERATION, ALLOWANCES, FACILITIES PAID

(f) RELATED-PARTY DEBT (CLOSE RELATIVES)

DIRECTOR OR SUBSTANTIAL SHAREHOLDER ⟷ HIS/HER CLOSE RELATIVE TO THE COMPANY

AMOUNT DUE AND PAYABLE

(j) TOTAL EMPLOYEES

NUMBER OF EMPLOYEES (MANAGEMENT & OTHER LEVELS)

(k) EXPATRIATE EMPLOYEES

NUMBER IN MANAGEMENT & OTHER LEVELS

REMUNERATION, ALLOWANCES, FACILITIES

Theme 3: Debt & Financial Agreements

(h) BANK LOANS & DEBT

AMOUNT OF LOANS BORROWED FROM BANKS/FIS

PRINCIPAL & INTEREST DUE

(l) FOREIGN AGREEMENTS & PAYMENTS

AGREEMENTS (>1 YEAR) ON INVESTMENT, MANAGEMENT, TECHNICAL SERVICES, ETC.

DETAILS OF DIVIDEND, COMMISSION, FEE, CHARGE, ROYALTY PAID

(m) MANAGEMENT EXPENDITURE

STATEMENT OF MANAGEMENT EXPENDITURES IN FINANCIAL YEAR

Theme 4: Operations & Compliance

(i) CLAIMS & LAWSUITS

AMOUNTS RECEIVABLE BY COMPANY OR PAYABLE TO ANY PERSON

(o) COMPLIANCE DECLARATION

FULL OBSERVATION OF THE ACT & PREVAILING LAW

(p) OTHER NECESSARY MATTERS

ANY OTHER DETAILS REQUIRED

SOURCE: CORPORATE LAW COMPLIANCE GUIDANCE

CORPORATE AGM COMPLIANCE: SECTIONS 79 & 80

SECTION 79: PREPARATION OF DOCUMENTS FOR AGM

AT LEAST
21 DAYS
PRIOR TO AGM

DOCUMENTS PREPARED FOR INSPECTION

- Annual Financial Statements
- Directors' Report
- Auditor's Report
- Report under Section 78
- Resolutions to be presented

SHAREHOLDER ACCESS

Inspection at
Inspect documents at Registered Office

Right to Copies
If requested, copy must be provided

SPECIAL RESOLUTIONS

SENT WITH MEETING NOTICE TO SHAREHOLDER'S ADDRESS

SECTION 80: RETURN OF AGM TO OFFICE

80(1) POST-AGM RETURNS (Companies holding AGM)

AGM → WITHIN 30 DAYS AFTER AGM

SUBMIT TO OFFICE

- Number of Shareholders Present
- Number attending by Video Conference
- Annual Financial Statement
- Board of Directors' Report
- Auditor's Report
- Decisions taken

80(2) PRIVATE COMPANY FILING (Separate Rule)

WITHIN **6 MONTHS** OF FINANCIAL YEAR END

EVERY PRIVATE COMPANY Submit

→ AUDITOR-CERTIFIED ANNUAL FINANCIAL STATEMENT

SECTION 80(3): MANDATORY ELECTRONIC SUBMISSIONS

UPLOAD DETAILS & DOCUMENTS THROUGH ELECTRONIC MEANS ONLY

RECORDS PRESERVED IN OFFICE'S COMPUTER SYSTEM

Section 81 : Fine to be imposed in case of failure to submit returns

Providing the return, notice, information or reply under *Section 51 (Inventory of shares, debentures and loans – 30 days prior to AGM), 78 (Report to Office 21 days prior to AGM), 80 (Return of AGM within 30 days of AGM), 120 (Explanation to Office), 131 (Report under liquidation ever 6 months) or 156 (Books of account, audit and annual report of foreign company)*

Delay Period After Due Date	Paid-up Capital ≤ Rs. 2.5 Million	Paid-up Capital > Rs. 2.5 Million & ≤ Rs. 10 Million & Not For Profit	Paid-up Capital > Rs. 10 Million
Up to 3 months	Rs. 1,000	Rs. 2,000	Rs. 5,000
Additional period up to next 3 months	Rs. 1,500	Rs. 3,000	Rs. 7,000
Additional period up to next 6 months	Rs. 2,500	Rs. 5,000	Rs. 10,000
Beyond 12 months	Rs. 5,000 per year	Rs. 10,000 per year	Rs. 20,000 per year

Provision	Summary
Non-profit company	Treated as a company with paid-up capital up to Rs. 10 million for fine purposes.
Obligation after paying fine	Director/officer/shareholder must still submit the pending return, notice, or information.
Other returns/information not covered above	Fine of Rs. 200 per month after one month from expiry of the prescribed time limit.
Applicable defaults	Failure to submit returns/notices/information under Sections 51, 78, 80, 120, 131, 156 and other required filings.
Authority imposing fine	Registrar (Office of Company Registrar)
Waiver	Pending returns, notices, or information submitted to the Office by the end of Ashadh 2082 (mid-July 2025) are eligible for a 90% waiver of late filing fines

SECTION 82: EXTRA-ORDINARY GENERAL MEETING (EGM)

BOARD'S INITIATIVE

Board of Directors may call an EGM whenever it considers it necessary.

AUDITOR'S REQUEST

If necessary during audit, the auditor requests the Board to call an EGM.

Board calls EGM (Checkmark)

Board FAILS to call EGM

AUDITOR APPLIES TO THE OFFICE

OFFICE CALLS EGM

SHAREHOLDERS' REQUEST

Shareholders holding
AT LEAST 10% OF PAID-UP CAPITAL, OR
AT LEAST 25% OF TOTAL SHAREHOLDERS.

REQUEST MUST STATE REASONS & SUBMITTED TO REGISTERED OFFICE.

BOARD MUST CALL MEETING WITHIN 30 DAYS of request

FAILURE OF BOARD TO ACT

FAILURE OF BOARD TO ACT

If Board does not call EGM within 30 days...

SHAREHOLDERS MAY PETITION THE OFFICE

OFFICE MAY CAUSE THE EGM TO BE CALLED

OFFICE'S OWN POWER

The Office may call, or direct the Board to call, an EGM based on:

INSPECTION FINDINGS

INVESTIGATION FINDINGS

ANY OTHER SUFFICIENT REASON

Legal compliance compliance d it: associaters aticept the tozenm orl sevnent and company company, conmtiu an entricment complianics.

SECTION 83: MATTERS REQUIRING SPECIAL RESOLUTION

FOR DECISIONS IN THE GENERAL MEETING

(a) INCREASING THE AUTHORISED CAPITAL

Raising maximum shares the company can issue.

(b) DECREASING OR ALTERING SHARE CAPITAL

Reducing, consolidating, or dividing existing shares.

(c) ALTERING NAME OR MAIN OBJECTIVES

Changing the company name or its core purpose.

(d) AMALGAMATING COMPANY INTO ANOTHER

Merging two companies into one entity.

(e) ISSUING BONUS SHARE

Distributing free shares to existing shareholders.

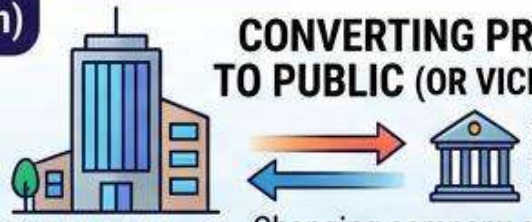
(f) BUYING BACK OWN SHARES

Company purchasing its own shares from the market.

(g) SELLING SHARES AT A DISCOUNT

Offering new shares below nominal value.

(h) CONVERTING PRIVATE TO PUBLIC (OR VICE VERSA)



Changing company status between private and public listing.

(i) OTHER MATTERS REQUIRED BY ACT OR ARTICLES

Any other specific decisions mandated by the Company's Articles or the Act.

Consult full text for detailed regulations

SECTION 84 & 85: FINANCIAL REPORTING & REGISTRATION PROVISIONS

SECTION 84: PROVISONS ON SENDING ABSTRACT OF FINANCIAL STATEMENT TO SHAREHOLDERS

NOT REQUIRED

- FULL ANNUAL FINANCIAL STATEMENT
- FULL DIRECTORS' REPORT

DEBENTURE-HOLDERS

AGM NOTICE + ABSTRACT OF ANNUAL FINANCIAL STATEMENT

ABSTRACT PREPARED FROM:

- ANNUAL FINANCIAL STATEMENTS
- DIRECTORS' REPORT

PRESCRIBED FORMAT

ABSTRACT MUST INCLUDE:

- A STATEMENT: SUMMARY OF FULL DOCUMENTS
- **AUDITOR'S OPINION ON CONSISTENCY** with full statements, report, and format
- AUDITOR'S QUALIFICATIONS, REMARKS, RESERVATIONS
- ACCOUNTING DEFICIENCIES, UNVERIFIABLE ACCOUNTS, MISSING INFORMATION

ALTERNATIVE DISPATCH METHOD:

- PUBLISH AT LEAST TWICE
- ALONG WITH AGM NOTICE

NO INDIVIDUAL DISPATCH REQUIRED

SECTION 85: REGISTRATION NUMBER TO BE MENTIONED

REGISTRATION NUMBER MUST APPEAR ON EVERY DOCUMENT SUBMITTED TO THE OFFICE.

Chapter 6 Board Of Directors

Section 86 : Board of directors and number of directors
Section 87 : Appointment of directors
Section 88 : Shares qualification of director
Section 89 : Circumstances where one is disqualified to be appointed to, or continue to hold, office of director
Section 90 : Term of office of directors
Section 91 : Remuneration, allowance, reward etc. of directors
Section 92 : Disclosure by directors
Section 93 : Transaction with company in which director is involved
Section 94 : Directors to make disclosure in shares
Section 95 : Powers and duties of board of directors
Section 96 : Appointment of managing directors, and management of company
Section 97 : Meetings of board of directors
Section 98 : Notice of meeting of board of directors
Section 99 : Responsibilities and duties of directors
Section 100 : Disclosure about securities
Section 101 : Prohibition on loans to officers or shareholders
Section 102 : Prohibition on giving false statements by officers
Section 103 : Transaction with other person and jurisdiction of company
Section 104 : Company to be bound
Section 105 : Restrictions on authority of directors
Section 106 : Validity of acts already done
Section 107 : Registers of director and company secretary

CORPORATE GOVERNANCE:
DIRECTORS & THE BOARD (SECTIONS 86, 87, & 88)

SECTION 86: BOARD OF DIRECTORS & COMPOSITION

PRIVATE COMPANY
- Articles of Association determine
- Max: 11 Directors

PUBLIC COMPANY
- Min: 3, Max: 11
- At least one Female Director if female shareholders

INDEPENDENT DIRECTORS
- 7 or fewer directors → 1+ Indep
- More than 7 directors → 2+ Indep
  - must have prescribed knowledge & experience

CHAIRPERSON

One director chosen from the board

SECTION 87: APPOINTMENT OF DIRECTORS

GENERAL RULE
- Appointed by General Meeting, subject to Sec 89/Articles

EXCEPTIONS
- **Before first AGM:** - Promoters appoint
- **Vacancy after AGM:** - Board appoints

CORPORATE SHAREHOLDER RULE
- If a corporate body holds shares
  - Appoint directors in proportion to shareholding & board strength
  - Appoint an Alternate Director for each

ALTERNATE DIRECTOR RIGHTS

In absence:
- Attend meetings
- Vote in place

Limitation:
- Vote in place
- Only if acting in place

SECTION 88: SHARES QUALIFICATION OF DIRECTOR

SHARES REQUIREMENT

- **Specified by Articles of Association** → **Hold required number**
- **No requirement specified** → **Hold at least 100 shares**

EXCEPTIONS (No qualification shares required)

Directors appointed under:
- Section 86(3)
- Section 87(2)

Section 89: Disqualifications for Director Appointment or Continuance

1. NOT ELIGIBLE FOR APPOINTMENT AS DIRECTOR (GENERAL)

- **Under 21 years** (Public Co.)
- **Unsound Mind / Insane**
- **Declared Insolvent** (under 5 years)
- **Conviction:** Corruption/Moral Turpitude (Private Co: under 3 years from sentence)
- **Conviction: Theft, Fraud, Embezzlement** (under 3 years from expiry)
- **Personal Interest in Company**
- **Conflicts with Similar Company:** Director, Shareholder, Employee, Auditor, Adviser (except subsids/ parents or non-banking publics with similar objectives.
- [redacted]
- **Failed to pay amounts due** (Unpaid bills)
- **Sentenced under Section 160** (under 1 year) or Section 161 (under 6 months)
- **Specific Law Violations** (for specific businesses)
- **Director in Company with 3+ years missing returns**
- **Pending amount under 81(2)**
- **Receiving** [redacted] **remuneration from another listed company**

2. NOT ELIGIBLE AS INDEPENDENT DIRECTOR (ADDITIONAL)

- **General Disqualifications**
- **Company Shareholder**
- **Education/Experience:** Non-relevant Bachelor's **OR** lack of 10 years experience (or specific subjects)
- **Current/Recent Officer, Auditor, Employee** (under 3 years)
- **Close Relative of Office**
- **Company Auditor or Partner**

3. CANNOT CONTINUE AS DIRECTOR

- **Becomes Disqualified** (as above)
- **Removed by General Meeting Resolution**
- **Resignation Accepted**
- **Court Finding: Dishonesty or Ulterior Motive**
- **Court Finding: Act Prohibited or Failure to Act**
- **Blacklisted for Loan Default**

REQUIREMENT BEFORE DISQUALIFICATION: Company must provide **INFO** and **REASONABLE OPPORTUNITY TO DEFEND.**

SEC 90: TERM OF OFFICE OF DIRECTORS

PRIVATE COMPANY

Tenure as provided in Articles of Association.

PUBLIC COMPANY

Tenure as specified in Articles of Association.
MAXIMUM 4 YEARS.

PROVISOS & SPECIAL CASES

1) Government or Corporate Body Appointees

Hold office so long as appointing body desires.

2) Temporary Appointees (until AGM)

Hold office only until holding of the Annual General Meeting.

3) Filling Vacancy

Remainder of the original tenure of the director whose office fell vacant.

REAPPOINTMENT ELIGIBLE

Retired director eligible for reappointment upon expiry of tenure.

NEPAL COMPANIES ACT: DIRECTORS' TERM & REMUNERATION (SEC 90 & 91)

SEC 91: REMUNERATION, ALLOWANCE, REWARD ETC.

TYPES OF REMUNERATION

Meeting Allowance

Monthly Remuneration

Daily Allowance

Traveling Allowance

Other Facility

DETERMINED BY GENERAL MEETING.

PERFORMANCE-BASED REWARD

GRANT BY SPECIAL RESOLUTION

MAX 3% of Net Profits (after Tax) | For **FULL-TIME DIRECTORS**

RECOVERY OF EXCESS
Company shall recover proportional amount if additional income tax is later assessed (up to reward amount).

TEMPORARY REMUNERATION (PRE-FIRST AGM)

BOARD OF DIRECTORS may determine for Managing Director or Full-Time Directors.

LISTED COMPANIES: COMPENSATION PROHIBITION

NO COMPENSATION for retirement or loss of office.
UNLESS GENERAL MEETING PERMITS.

SECTION 92: DISCLOSURE BY DIRECTORS

TIMELINE FOR ASSUMING OFFICE

0 — 15 days

A director must disclose to the company **within 15 days of assuming office:**

1. **DIRECT INVOLVEMENT OR PERSONAL INTEREST:** Of the director or close relative in company transactions.
2. **INTEREST IN APPOINTMENTS:** Of Managing Director, Company Secretary, or other officers.
3. **OTHER DIRECTORSHIPS:** Directorship held in any other company.
4. **DEALINGS IN SHARES OR DEBENTURES:** Of the company, its holding company, or subsidiary.

Company → Holding, Subsidiary

DEFINING 'DIRECT INVOLVEMENT'

- IS A PROMOTER
- HOLDS > 10% SHARES
- IS A DIRECTOR OF A COMPANY INVOLVED

PROMPT DISCLOSURE REQUIRED

A director must promptly disclose any direct or indirect interest in:

- CONTRACTS
- LEASES
- TRANSACTIONS
- AGREEMENTS

involving the company or its subsidiary.

SUBMISSION & DOCUMENTATION

THE DISCLOSURE MUST BE ACCOMPANIED BY:

- DETAILS OF TRANSACTION, INTEREST, OR INVOLVEMENT
- COPY OF AGREEMENT (if any)

Company → **COMPANY MUST SUBMIT...** within **7 days** of receipt → OFFICE

If a director gives **written notice** that transactions with a particular person involve his/her interest, such notice is deemed sufficient disclosure for future transactions with that person.

GENERAL NOTICE FOR FUTURE TRANSACTIONS

Particular Person → Written Notice → Future transactions

UNDERSTANDING SECTION 93:
TRANSACTIONS WITH COMPANY IN WHICH DIRECTOR IS INVOLVED

SCOPE & GENERAL RULE

A **Public Company** cannot enter meaningful transactions with certain parties **WITHOUT General Meeting (GM) Approval.**

- Directors
- Directors' Close Relatives
- Substantial Shareholders
- Entities they hold substantial shares in.

Subsidiary Company
Requires Holding Company GM Approval for transactions with Holding Company's directors, relatives, or shareholders.

WHAT IS A MEANINGFUL TRANSACTION?

Purchase, sale, transfer, or lease of goods or services exceeding:

LOWER of:
NPR 100,000
OR
5% of total assets

Lower value

Includes Annual Turnover of **NPR 120,000** or more

EXCEPTIONS (APPROVAL NOT REQUIRED)

- Transactions between a Holding Company and its **Wholly-owned Subsidiary.**
- Transactions between **Wholly-owned Subsidiaries** of the same Holding Company.
- Transactions at **Prevailing Market Price** in the ordinary course of business.

CONSEQUENCES OF VIOLATION

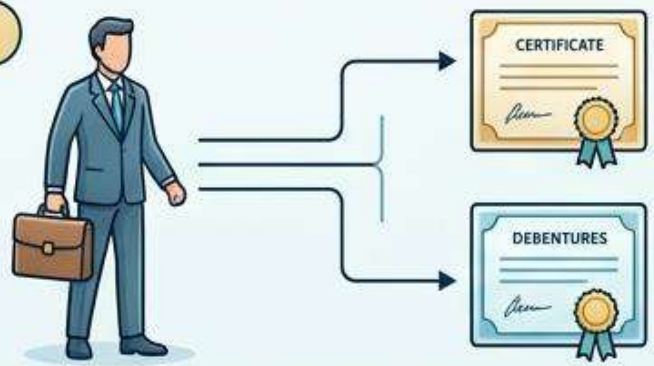
If a transaction violates Section 93:

- Any profit or benefit obtained **MUST BE RETURNED** to the company.
- Loss caused to the company **MUST BE COMPENSATED.**

SECTION 94: DIRECTORS TO MAKE DISCLOSURE IN SHARES

REQUIRED DISCLOSURES
(Current Holdings & Future Changes)

1



1) If holding office, must give **details to company of:**

(a) Title details (e.g., share owner).

(b) Number of shares, class, and amount of debentures in:

- This Company
- Subsidiary Company
- Holding Company
- Another Subsidiary of Holding Co.

DIRECTOR

5

All Provisions **ALLo** apply to **RELATIVES** as if they were a Director.

COMPANY

4

4) Company shall maintain a separate **Register** to record information from (2) and (3).

2 TIMELY NOTIFICATIONS
(Future Events)

2) Notify Company in Writing within **15 Days** of learning of:

- (a) Acquiring or losing title to shares/debentures.
- (b) Agreement to sell shares/debentures.
- (c) Assigning subscription rights for this company.
- (d) Subsidiary/Holding Co. grants subscription rights.
- (e) Assigning subscription rights for Subsidiary/Holding Co.

3 INFORMATION CONTENT

3) Notifications under (2) must clearly state: **Number, Amount,** and **Class** of shares or debentures.

SECTION 95: POWERS & DUTIES

SECTION 95:

POWERS AND DUTIES OF BOARD OF DIRECTORS

1) COLLECTIVE MANAGEMENT

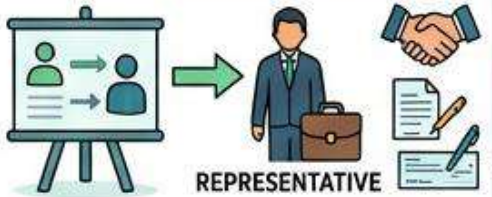
Manage all transactions, exercise powers & perform duties **COLLECTIVELY**, subject to Act, Articles, & General Meetings.

2) PERSONAL BENEFIT RESTRICTIONS

No director of a Public Company shall get personal benefit via the company, unless approved by a General Meeting.

PROVISO: Private Company can have provisions for reasonable benefits in Memorandum, Articles or Consensus Agreement.

3) DELEGATION OF POWERS



Board can appoint a director or employee as a representative.

Delegates powers (individually or jointly) for acts, correspondence, bills, etc.

AT LEAST 1 DIRECTOR + COMPANY SECRETARY (if any)

4) RECOVERY OF DAMAGES

Company may recover damages from a director or representative for loss caused by acts **BEYOND THEIR JURISDICTION.**

5) LIMITED CLAIMS FOR 3RD PARTIES

Persons knowing a director/representative deals for **PERSONAL INTEREST** or **CAUSING LOSS** cannot make claims against the company for that transaction.

6) NON-DELEGABLE POWERS

(a) CALLS ON SHARES

(b) ISSUE DEBENTURES

(c) BORROW LOANS (other than debentures)

(d) INVEST COMPANY FUNDS

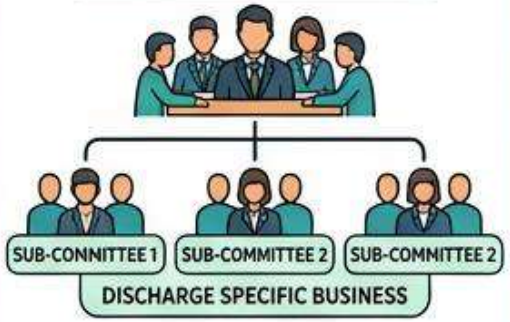
(e) MAKE LOANS

Must be exercised **ONLY** by Board of Directors through **RESOLUTIONS** at meetings.

7) EXCEPTION FOR FINANCIAL BUSINESS

The restriction on making loans (6e) **DOES NOT** apply to loans and deposits in the ordinary course of business for these entities.

8) FORMATION OF SUB-COMMITTEES



Board can form sub-committees to discharge specific business as needed.

SECTION 96 & 97: APPOINTMENT OF MANAGING DIRECTORS & BOARD MEETINGS

SECTION 96: MANAGING DIRECTORS & MANAGEMENT

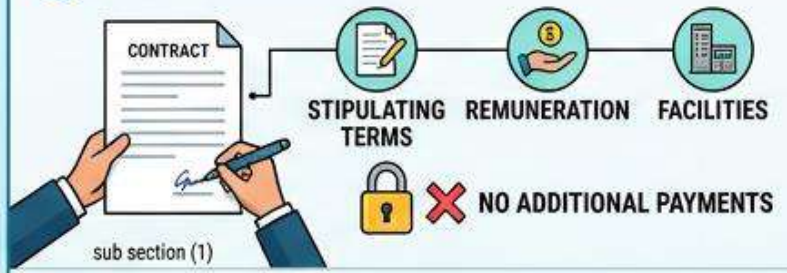
1 APPOINTMENT FROM DIRECTORS

sub section (1)

2 FUNCTIONS & POWERS

sub section (2)

3 WRITTEN AGREEMENT



sub section (1)

4 TERM LIMIT

sub section (4)

5 SHAREHOLDER INSPECTION

sub subsection (5)

6 LISTED COMPANY RESTRICTION

sub subsection (6)

SECTION 97: BOARD OF DIRECTORS MEETINGS

1 MEETING FREQUENCY

(a) PRIVATE COMPANY
As specified in Articles

(b) PUBLIC COMPANY

sub section (1)

2 PERSONAL ATTENDANCE ONLY

sub section (3)

3 QUORUM REQUIREMENT

51%+ OF TOTAL DIRECTORS PRESENT

*Exceptions for quorum and enoat additionl/inor present

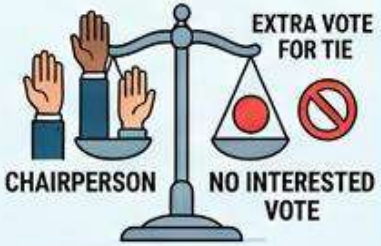
sub section (4). For ressitionany & subsection (5)

4 ADJOURNED MEETING

VALID DECISIONS EVEN IF QUORUM IS NOT MET

sub subsection (6)

5 DECISION MAKING & CASTING VOTE



sub subsection (7)

6 MINUTES & RECORDING

RECORD:
NAMES, SUBJECTS, DECISIONS.
SIGNED BY 51%+ PRESENT.
DISSENTING OPINIONS RECORDED.

sub subsection (9)

7 WRITTEN CONSENT RESOLUTIONS (EXCEPTIONS)

WITHOUT A PHYSICAL MEETING

sub subsection (10)

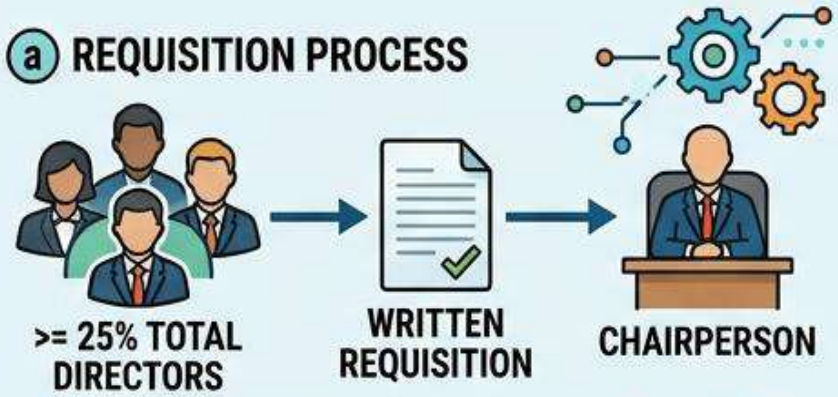
SECTION 98: NOTICE OF BOARD MEETINGS

1. AUTHORITY TO CALL MEETING

Unless Articles provide otherwise

2. MEETING UPON DIRECTORS' REQUISITION

a REQUISITION PROCESS



CHAIRPERSON CALLS MEETING WITHIN [redacted] DAYS

15

b CHAIRPERSON FAILURE

3. NOTICE REQUIREMENTS

a FOLLOW ARTICLES OF ASSOCIATION

ARTICLES
Procedure follows provisions

b NO PROVISION IN ARTICLES

SECTION 99: RESPONSIBILITIES AND DUTIES OF DIRECTORS

1 NO PERSONAL BENEFIT

A director shall not obtain any personal benefit through the company or while conducting its business.

2 RECOVERY OF UNAUTHORIZED BENEFITS

If a director receives personal benefits, the company shall recover the amount as if it were a loan.

3 OATH BY PUBLIC COMPANY DIRECTORS

Must take an oath of secrecy and honesty in the prescribed format (for Public Companies)

4 DUTY OF GOOD FAITH & CARE

Must act honestly, in good faith, in the best interests of the company. Exercise reasonable care, caution, wisdom, diligence, efficiency.

5 LIABILITY FOR LOSS OR DAMAGE

Company may recover damages from a director who causes loss/damage through ulterior motive or violation of duties

6 COMPLIANCE DUTY

Every director must comply with the Act, MOA, AOA, and Consensus Agreement.

SECTION 100

DISCLOSURE ABOUT SECURITIES

1 DIRECTOR DISCLOSURE (SEC 94)

A Director must disclose shares or debentures to the company

2 COMPANY INFORMATION TO STOCK EXCHANGE

If listed, company must promptly inform the stock exchange

3 PUBLICATION BY STOCK EXCHANGE

Stock exchange publishes the information as it sees fit

(1)

SECTION 101

PROHIBITION ON LOANS TO OFFICERS OR SHAREHOLDERS

RELATIVE

• OFFICER • SUBSTANTIAL SHAREHOLDER

DO NOT PROVIDE LOANS, FINANCIAL ASSISTANCE, GUARANTEES, OR SECURITY TO THESE PERSONS

EXCEPTIONS

LOAN TO EMPLOYEES (per rules)

LOAN BY BANKS IN ORDINARY COURSE (unless prohibited)

PRIOR LOAN REPAYMENT (SEC (2))

PRIOR LOAN REPAYMENT (SEC (2))

Prior Loans

Must be repaid by 8 Dec 2008 (22 Ashwin 2065)

SECTION 102

PROHIBITION ON GIVING FALSE STATEMENTS BY OFFICERS

OFFICER ACTIONS

Knowingly gives **FALSE STATEMENTS** about company finances in general meeting

SHAREHOLDER ACTION

Encourages **HIGHER DIVIDENDS** than than actual profits allow

IMPACT & LIABILITY

AFFECTS COMPANY CAPITAL

THE OFFICER IS PERSONALLY LIABLE FOR THE ACT

COMPANY LAW GUIDE: TRANSACTIONS & JURISDICTION

SECTION 103: TRANSACTIONS & JURISDICTION

VALIDITY OF TRANSACTIONS

Transactions exceeding the MOA jurisdiction are **NOT** void or invalid merely for that reason.

DUTY TO ACT WITHIN AUTHORITY

Directors & Officers must act within the powers specified in the Memorandum of Association (MOA).

RATIFICATION OF UNAUTHORIZED ACTS

Transactions beyond authority can be ratified by a Special Resolution in a **General Meeting.**

LIABILITY REMAINS DESPITE RATIFICATION

Ratification does **NOT** excuse directors or officers from liability for acts beyond their authority.

SECTION 104: COMPANY TO BE BOUND

VALID & BINDING ACTS

Acts signed by at least one authorized director or a person acting on behalf of the company are valid and binding.

PROTECTION OF GOOD FAITH TRANSACTIONS

Transactions made in **GOOD FAITH** are binding on the company, even if they violate internal restrictions.

INTERNAL RESTRICTIONS & THIRD PARTIES

Internal limits in MOA, AOA, General Meeting resolutions, or agreements cannot nullify authority against good faith third parties.

LIABILITY FOR EXCEEDING AUTHORITY

Officers acting beyond authority are personally liable for losses. The company can recover damages. Liability avoided only via ratification.

*Based on illustrative legal sections.

SECTION 105: RESTRICTIONS ON AUTHORITY OF DIRECTORS

APPLICABILITY
- **PUBLIC COMPANIES**
- **PRIVATE COMPANIES** receiving loans from banks/FIs

THE **BOARD OF DIRECTORS** cannot perform certain acts without approval through a **SPECIAL RESOLUTION** of the **GENERAL MEETING OF SHAREHOLDERS**.

RESTRICTED ACTIONS REQUIRING SPECIAL RESOLUTION

1. DISPOSAL OF MAJOR UNDERTAKINGS

CANNOT SELL, LEASE, OR DISPOSE OF

>70% of one or more undertakings.

EXCEPTION

Does not affect buyers purchasing at prevailing market price from companies whose **ORDINARY BUSINESS** is buying/selling movable/immovable properties.

2. EXCESSIVE BORROWING

CANNOT BORROW MONEY IF:

TOTAL BORROWING > AGGREGATE OF PAID-UP CAPITAL & FREE RESERVES.

EXCLUSION

Short-term loans/facilities (<6 months) from banks/FIs in **ORDINARY COURSE** of business.

EXCEPTION

Deposits/insurance premiums accepted by Banking, Financial, or Insurance companies in ordinary course.

3. LARGE CONTRIBUTIONS, DONATIONS, OR GIFTS

CANNOT MAKE EXCEEDING THE LOWER OF:

NPR 100,000 (Fin. Year) **OR** **1%** of average net profits (last 3 Fin. Years).

EXCEPTION

Limit doesn't apply to: **EMPLOYEE WELFARE** or **PROMOTION OF COMPANY'S BUSINESS.**

GENERAL MEETING'S POWER

The General Meeting may impose specific terms and conditions while granting approval through a Special Resolution.

GUIDE TO SECTIONS 106 & 107 OF THE COMPANIES ACT

SECTION 106: VALIDITY OF ACTS ALREADY DONE

DISCOVERY
Non-compliance with provisions for a director's appointment is found later.

VALIDITY OF ACTS
Acts done by the director diredor **BEFORE** discovery **REMAIN VALID.**

PROTECTS STAKEHOLDERS
Maintains stability for transactions and agreements.

DOES NOT SAVE APPOINTMENT
The invalid appointment itself still needs correction.

SECTION 107: REGISTERS OF DIRECTOR AND COMPANY SECRETARY

REQUIREMENT
Every company **MUST** maintain separate registers for directors and company secretaries (if any).

NAME
SURNAME
ADDRESS
CITIZENSHIP
PROFESSION/OCCUPATION
DATE OF APPOINTMENT
DATE OF REMOVAL

DETAILED INFORMATION
Record key details in the register.

NOTICE OF ALTERATION
Send notice of any changes to the details.

ALTERATION
Send notice of any 15 days to the details.

TIME LIMIT
Send notice within 15 days of the change.

Chapter 7 Accounts And Records Of Company

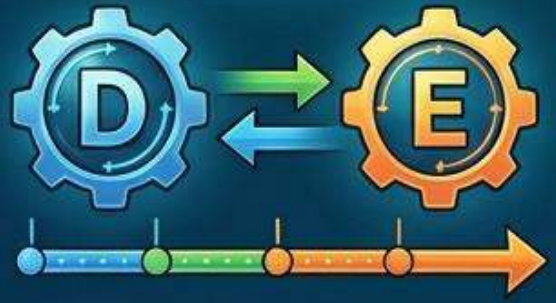
Section 108 : Accounts of company
Section 109 : Annual financial statement and report of board of directors

GUIDE TO SECTION 108 OF THE COMPANIES ACT

BOOKKEEPING & LANGUAGE

SEC 108 (1) & (2): ACCOUNTING STANDARDS

- **LANGUAGE REQUIREMENT**
  - Duly maintain in Nepali or English language.



- **DOUBLE ENTRY SYSTEM**
  Maintain by Double Entry System. Reflect actual affairs clearly.

- **COMPLIANCE**
  In consonance with Accounting Standards and other terms.

LOCATION, CASH & RESPONSIBILITY

SEC 108 (3)-(6): MANAGEMENT & LIABILITY

- **LOCATION OF RECORDS**
  Keep books of account at the registered office.
- Except with Office Approval.

- **BANK TRANSACTIONS**
  Only limited cash balance allowed (by Board resolution).

All other transactions must be through the bank.

- **OFFICER RESPONSIBILITY**
  SEC 108 (5): **FINAL RESPONSIBILITY** is with Directors/Officers.

- SEC 108 (6): **DEFAULT LIABILITY** for improper financial statements.

SECTION 109 — ANNUAL FINANCIAL STATEMENT & REPORT OF BOARD OF DIRECTORS

1 PREPARATION TIMELINE

PUBLIC COMPANY

Prepare annual financial statements **at least 30 days** before the Annual General Meeting (AGM).

PRIVATE COMPANY

Prepare annual financial statements **within 6 months** from the end of the financial year.

2 ANNUAL FINANCIAL STATEMENTS

- **Balance Sheet** (as at financial year-end)
- **Profit & Loss Account**
- **Cash Flow Statement**

- Must give a **true and fair view**
- Must follow the **prescribed legal format**
- Must be **approved** by the Board and **audited**

3 BOARD OF DIRECTORS' REPORT – KEY DISCLOSURES

Company Performance & Governance	• Review of previous year transactions • Impact of national & international situations • Achievements, current position & future plans • Industrial/professional relations • Changes in Board of Directors • Major matters affecting the business
Financial & Audit Matters	• Audit remarks & Board's comments • Amount recommended for dividend • Management expenses • Internal control system • Unclaimed dividends
Shareholders & Related Parties	• Forfeited shares details • Disclosures by substantial shareholders • Directors/officers' shareholding & transactions • Directors' personal interest & related agreements • Related party transactions • Property dealings (Sec.141)
Management & Committees	• Audit Committee: members, remuneration, functions & suggestions • Remuneration & benefits to Directors, CEO & officers • Outstanding dues from directors, executives, substantial shareholders or related entities
Other Matters	• Subsidiary company progress & major transactions • Share buy-back details • Other matters required by the Act & prevailing law • Any other necessary matters

4 BOARD REPORT IS REQUIRED FOR

Public Companies OR **Private Companies with:**

- Paid-up Capital **NPR 10 million** or more
- Annual Turnover **NPR 100 million** or more

5 SPECIAL CASE IN INCORPORATION YEAR

For the year of incorporation, financial statements shall cover the period from the **date of incorporation to the end of that financial year.**

6 RIGHT OF INSPECTION

Annual financial statements shall be kept open for inspection by any **shareholder** on **request.**

7 APPROVAL & SIGNATURE

Annual financial statements and the Board Report must be:

- Approved by the Board
- Signed by the Chairperson of the Board and at least one Director

8 RECORD RETENTION

5 YEARS

Accounts and annual financial statements must be preserved for **at least 5 years** after the end of the financial year.

9 LIABILITY & PENALTY

Officers who prepare false financial statements, Board reports or other returns, and directors who approve them, **shall be liable to punishment under this Act.**

KEY TAKEAWAY:

- **Timely Preparation** (30 days before AGM / 6 months after FY end)
- **Complete Financial Statements + Detailed Board Report**
- **Transparency, Accountability & Good Governance**
- **5 Years Record Retention**
- **False Reporting = Punishable Under the Act**

Chapter 8 Audit

Section 110 : Company to appoint auditor
Section 111 : Appointment of auditor
Section 112 : Disqualifications of auditor
Section 113 : Power of Office to appoint auditor
Section 114 : Accounts and records to be furnished
Section 115 : Functions and duties of auditor
Section 116 : Audit report to bear auditor's signature
Section 117 : Information to be provided
Section 118 : Remuneration of auditor
Section 119 : Provision relating to removal of appointed auditor

GUIDELINES FOR APPOINTING A COMPANY AUDITOR
(SECTIONS 110 & 111)

SECTION 110: COMPANY TO APPOINT AUDITOR

MANDATORY APPOINTMENT:

EVERY COMPANY SHALL APPOINT AN AUDITOR
to have its accounts audited.

BRANCH OFFICES OUTSIDE NEPAL

AUDITOR APPOINTED (u/s 1)
may audit branch accounts

EXCEPT as provided by prevailing law of that country

SECTION 111: APPOINTMENT OF AUDITOR

WHO APPOINTS & HOW?

PUBLIC COMPANY

By General Meeting
(subject to Ch 18)

PRIVATE COMPANY

In accordance with MOA, AOA, or Consensus Agreement.

IF NO PROVISION:
By General Meeting

FORWARD NAME TO OFFICE (CRO) WITHIN 15 DAYS

SPECIAL SITUATIONS

BOARD OF DIRECTORS

Can appoint **PRIOR** to **FIIST ANNUAL GENERAL MEETING (AGM)**

TENURE OF OFFICE

Holds office **ONLY UNTIL THE NEXT AGM**

RESTRICTIONS (FOR PUBLIC COMPANIES ONLY)

LIMIT ON CONSECUTIVE TERMS:
MAX 3 TERMS for auditor, partner, ex-partner, employee, or ex-employee.

EXCEPTIONS:
Partners or employees who ended service 3 years before.

SECTION 112 : DISQUALIFICATIONS OF AUDITOR

The following persons, firms or companies (and their partners/employees/close relatives, as applicable) **are not qualified for appointment as auditor and shall not continue to hold office, despite appointment.**

1. PERSONS DISQUALIFIED FROM APPOINTMENT AS AUDITOR

(a) A director, advisor entitled to regular remuneration or cash benefit, a person or employee involved in the management of the company or a partner of any of them or an employee of any such partner or a close relative of a director or partner or an employee of such relative.

(b) A debtor who has borrowed moneys from the company in any manner, or a person who has failed to pay any dues payable to the company within the time limit and is in such arrears or a close relative of such person.

(c) A person who has been sentenced to punishment for an offense pertaining to audit and a period of five years has not elapsed thereafter.

(d) A person who has been declared insolvent.

(e) A substantial shareholder of the company or a shareholder holding 1% or more of the paid up capital of the company or his close relative.

(f) A person who has been sentenced to punishment for an offense of corruption, fraud or a criminal offense involving moral turpitude and a period of five years has not elapsed thereafter.

(g) A person referred to in Sub-section (3) of Section 111.

(h) In the case of a public company, any person who works, whether full time or part time, for any governmental body or any body owned fully or partly by the Government of Nepal or any other company or a partner of such person or a person who is working as an employee of such partner or a person who is authorised to sign any documents or reports to be prepared by the management of the company.

(i) A company or corporate body with limited liability.

(j) A person having interest in any transaction with the company or his/her close relative or a director, officer or substantial shareholder of another company having any interest in any transaction with the company.

2. DECLARATION BEFORE APPOINTMENT

The auditor shall, prior to his/her appointment, give information in writing to the company that he/she is not disqualified pursuant to Sub-section (1).

3. DUTY TO INFORM AND CEASE AUDIT

STOP

Where any auditor becomes disqualified to audit the accounts of a company or there arises a situation where he/she becomes disqualified for appointment or can no longer continue to act as an auditor of the company, he/she shall immediately stop performing the audit which is required to be performed or is being performed by him/her and give information thereof to the company in writing.

4. CONSEQUENCE OF CONTRAVENTION

The audit performed by an auditor who has been appointed in contravention of this Section shall be invalid.

NOTE:
"Close relative" means as defined in Section 2 (23) of the **Companies Act, 2063.**

KEY TAKEAWAYS

- Wide range of restrictions to ensure independence and impartiality of auditors.
- Includes relationships, financial interests, offenses, and government employment.
- Auditor must declare eligibility before appointment and inform immediately if disqualified.
- Non-compliance results in invalid audit.

COMPANIES ACT: KEY SECTIONS ON AUDITORS & ACCOUNTS

SECTION 113: POWER OF OFFICE TO APPOINT AUDITOR

FAILURE TO APPOINT AUDITOR AT AGM
(Annual General Meeting)

PRIVATE / UNLISTED PUBLIC COMPANY

- Board of Directors **appoints another auditor**
- Must inform the Office

When auditor not appointed, AGM not held, or existing auditor cannot continue

LISTED PUBLIC COMPANY

- Office appoints **another auditor**
- **Request** by the Board of **Directors**

SECTION 114: ACCOUNTS AND RECORDS TO BE FURNISHED

RIGHT OF AUDITOR

- Access books & records **ANY TIME** during office hours

DUTY OF DIRECTORS AND EMPLOYEES

- Provide required books & records upon demand
- Give oral explanations/clarifications **WITHOUT DELAY**

SECTION 115: FUNCTIONS AND DUTIES OF AUDITOR

SUBMISSION OF AUD REPORT

- Submit audit report to company, addressed to shareholders/appointing authority
- **Certify:** Balance Sheet, P&L Account, Cash Flow Statement

COMPLIANCE WITH STANDARDS

- Report prepared per prevailing law & audit standards
- Include all matters required under the Act

MATTERS TO BE STATED IN REPORT

ACCOUNTS & RECORDS
All info provided?
Properly maintained books?

FINANCIAL STATEMENT COMPLIANCE
Comply with standards?
Agree with books?
True reflection of position?

COMPLIANCE & FRAUD REVIEW
Acts contrary to law?
Misappropriation?
Caused loss/damage?
Accounting fraud?

GUIDE TO AUDTTOR RESPONSIBILTIES AND REGULATIONS (SECTIONS 116-119)

1 SECTION 116: AUDIT REPORT SIGNATURE

MUST BE SIGNED AND DATED

INDIVIDUAL AUDITOR:
Signs and dates him/herself.

ACCOUNTING INSTITUTION:
Authorized member (by partners) signs and dates.

2 SECTION 117: INFORMATION TO SHAREHOLDERS

COMPANY MUST DISTRIBUTE THE AUDIT REPORT

TO SHAREHOLDERS:
Company sends a copy (subject to Act provisions).

TO TRADE UNION:
If a formal trade union requests in writing, one copy must be provided.

3 SECTION 118: REMUNERATION OF AUDITOR

AUDITOR COMPENSATION

AMOUNT PRESCRIBED BY APPOINTING AUTHORITY

PAID & BORNE BY THE COMPANY

4 SECTION 119: REMOVAL OF APPOINTED AUDITOR

GUIDELINES FOR REMOVAL

(1) GENERAL RULE:
No removal before audit completion for the financial year.

(2) EXCEPTIONS FOR REMOVAL:
Breaches code of conduct, acts against company interests, or violates law.

(2, Cont.) REMOVAL PROCESS:
Prior info to ICAN, approval of regulatory authority or 'Office'.

(3) DEFENSE:
Must provide a reasonable opportunity for auditor to defend themselves.

*Based on legal provisions

Chapter 9 Call For Explanation And Investigation

Section 120 : Power of Office to call for explanation
Section 121 : Power of Office to depute inspector
Section 122 : Functions, duties and powers of inspector
Section 123 : Assistance to be rendered to inspector
Section 124 : Report to be submitted
Section 125 : Expenses of investigation

SECTION 120 & 121: COMPANY OVERSIGHT POWERS

SECTION 120: POWER OF OFFICE TO CALL FOR EXPLANATION

REQUEST CLARIFICATION
The Office may request clarification on unclear company documents within a specified period.

MANAGEMENT RESPONSE
Management must provide proper replies within the prescribed time.

IRREGULARITIES FOUND
If irregularities are found, the Office may issue directives to correct them.

COMPLIANCE
The company must comply with such directives.

SECTION 121: POWER OF OFFICE TO TO DEPUTE INSPECTOR

APPOINTMENT UPON APPLICATION

SHAREHOLDERS
At least 10% of paid-up capital OR one-fourth of total shareholders.

OR

CREDITORS
Concerned creditors, with supporting evidence and reasonable grounds.

APPLICANT MUST DEPOSIT ESTIMATED COST
(as specified by Office)

APPOINTMENT WITHOUT APPLICATION
The Office may appoint if...

SUSPECTED FRAUD/ILLEGALITY
Company is suspected of fraud, illegal activities, or actions against public interest.

PUBLIC COMPANY FAILURE
A public company fails to furnish required information about its transactions.

INSPECTOR APPOINTMENT

INSPECTOR REQUIREMENTS
- EXPERTS IN RELEVANT FIELDS
- NO PERSONAL INTEREST IN COMPANY

INSPECTOR'S INVESTIGATION PROCESS (Sections 122-125)

SECTION 122: FUNCTIONS, DUTIES AND POWERS OF INSPECTOR

1) Powers

(a) Interview & Statements

- Require officers, shareholders, former persons, or others to appear & record statements
- Obtain necessary info

(b) Documents & Evidence

- Inspect, seize, or control relevant documents & things
- Require production of documents
- Take custody

(c) Books of Account

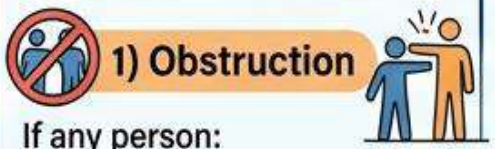
- Investigate if proper books of account are kept

2) Admissible Evidence

Any matter or deposition is admissible as evidence against that person.

SECTION 123: ASSISTANCE TO BE RENDERED TO INSPECTOR

1) Obstruction



If any person:

- Makes a false deposition
- Fails to produce statements/documents/ things
- Fails to answer questions
- Fails to provide information

2) Court Report

Inspector may file a compliant report to the Court.
The Court may impose punishment under Section 162 after inquiry.

SECTION 124: REPORT TO BE SUBMITTED

1) Inspector's Report

- Submit a report with opinions to the Office on conclusion.
- Office gives a copy to applicant/shareholder (with fees)

2) Illegal Acts Found

If report shows directors, managers, or employees caused loss, fraud, cheat, or committed illegal acts, the Office orders the company to file a lawsuit against them.

3) Suspension & Direction

If business risks further loss, the Office directs company to suspend guilty persons and manage business through other means.

(4) Admissible Facts:

Any matter in report is admissible evidence.

SECTION 125: EXPENSES OF INVESTIGATION

1) General Rule

- Company bears investigation expenses.

2) Malice or Fraud Found

- If director, manager, or officer found guilty of malice, deception, fraud, or cheating, they must pay within 7 days.
- If not paid, recovered as governmental dues.

3) Inspector's Suggestion

Inspector suggests payment of expenses in the report.

Chapter 10 Voluntary Liquidation Of Company

Section 126 : Liquidation of company able to pay its debts
Section 127 : Appointment of liquidator and auditor
Section 128 : Application of prevailing law on insolvency
Section 129 : Application to be made in the event of inability of company to pay liabilities
Section 130 : Power of liquidator too take into custody and under control property of company
Section 131 : Powers and duties of liquidator
Section 132 : Cancellation of registration of company
Section 133 : Power of creditor and shareholder to make complaint
Section 134 : Action to be taken in cases of fraud or deception
Section 135 : Right of secured creditors not to be affected

SECTIONS 126 & 127: VOLUNTARY LIQUIDATION OF COMPANY

SECTION 126: LIQUIDATION OF COMPANY ABLE TO PAY ITS DEBTS

1. HOW LIQUIDATION CAN BE INITIATED

Shareholders may liquidate the company (not insolvent) by adopting a **Special Resolution** in the general meeting or as provided in the MOA, AOA or Consensus Agreement.

2. CONDITIONS FOR LIQUIDATION

(a) The company is able to pay all its debts and other liabilities in full.

(b) No insolvency application or proceeding is pending against the company and the company is not subject to any insolvency proceeding.

(c) Directors, after due inquiry, make a written declaration that the company can pay all its debts and other liabilities in full and can settle them **within 1 year** from the date of adoption of the resolution to liquidate.

(d) The written declaration of directors must be presented in the general meeting at the time of discussion on liquidation.

3. SUBMISSION TO OFFICE

A copy of the Special Resolution and the written declaration of directors shall be submitted to the Office **within 7 days** from the date of adoption of the resolution.

SECTION 127: APPOINTMENT OF LIQUIDATOR AND AUDITOR

1. While adopting a resolution to liquidate (Section 126), the company shall appoint a **Liquidator**.
2. The Liquidator must be a licensed practitioner under the prevailing insolvency law. The company shall fix the remuneration of the liquidator.
3. Information of the appointment of liquidator shall be given to the Office **within 7 days** from the date of such appointment.
4. After appointment, the directors and officers are relieved of their office and the Liquidator shall exercise all powers regarding the operation and management of the company.
5. Employee services automatically terminate when the Liquidator commences operation and management.
   Provided: The Liquidator may retain or appoint necessary employees for support and assistance.
6. The Liquidator shall complete the liquidation within the period specified at the time of appointment.
   Provided: A reasonable extension may be granted in the same manner as the appointment procedure.
7. While appointing the Liquidator, an **Auditor** shall also be appointed as per this Act.
8. If the Liquidator violates the Code of Conduct of Insolvency Practitioners, the interests of the company or other laws, he shall be **removed**.
   - For violation of the Code, approval of the implementing body is required.
   - Before removal, he shall be given an opportunity to present his defense.
9. If the Liquidator ceases to hold office for any reason, another Liquidator shall be appointed by the same procedure.
10. No person shall be Liquidator of more than one company at the same time.

PREVAILING LAW OVERVIEW

DETERMINATION OF CREDITORS (SECTION 128)

Whether a person is a creditor is determined in accordance with the prevailing law on insolvency.

INABILITY TO PAY LIABILITIES (SECTION 129)

If liquidator determines insolvency, must apply for a review of insolvency under prevailing law.

LIQUIDATOR'S INITIAL ACTIONS

LIQUIDATOR COMMENCES PROCESS

TAKE CUSTODY & CONTROL (SECTION 130)

POWERS AND DUTIES OF LIQUIDATOR (SECTION 131)

EXERCISE ALL POWERS & DUTIES PROVIDED UNDER PREVAILING INSOLVENCY LAW.

1

SUBMIT INCOME & EXPENDITURE STATEMENTS
To the Office, every 6 months

2

INFORM SHAREHOLDERS ABOUT PROGRESS
Every 6 months

3

RECOVER COMPANY ASSETS & SETTLE DEBTS/LIABILITIES OF CREDITORS

4

CALL A GENERAL MEETING
After settling liabilities

PRESENT SHAREHOLDERS& DISTRIBUTION

5

PRESENT PROPOSED REPORT ON ASSET DISTRIBUTION

DISTRIBUTE REMAINING ASSETS
Upon consent of at least 75% of paid-up share capital

6

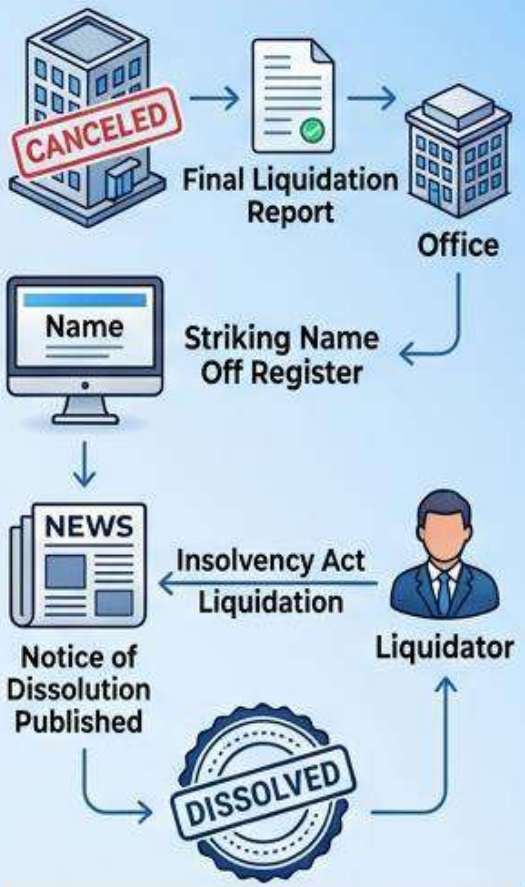
DISTRIBUTE REMAINING ASSETS
Upon consent of at least 75% of paid-up share capital

7

SUBMIT FINAL LIQUIDATION REPORT
With auditor's report to the Office

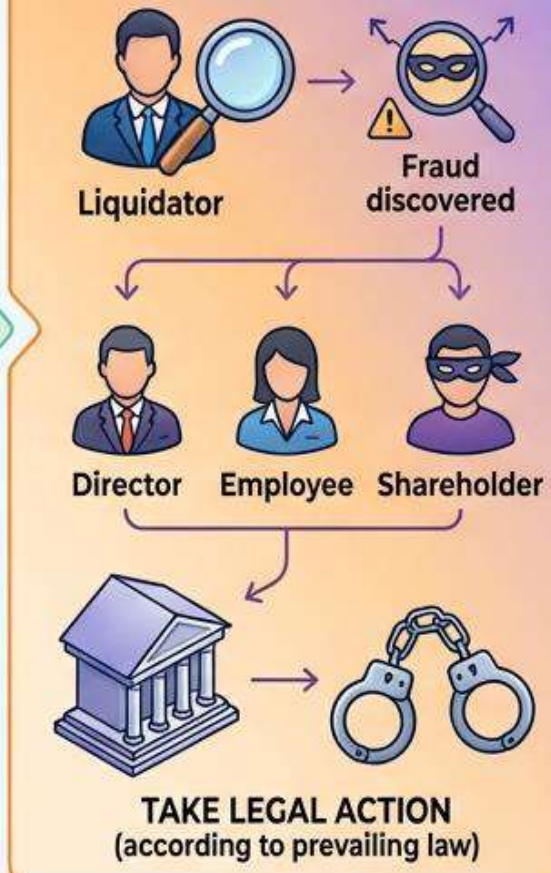
REGULATIONS FOR COMPANY LIQUIDATION
(Sections 132–135)

SECTION 132: CANCELLATION OF REGISTRATION



SECTION 133: CREDITOR & SHAREHOLDER COMPLAINTS

SECTION 134: ACTION IN FRAUD OR DECEPTION



SECTION 135: RIGHT OF SECURED CREDITORS

*Source- Scenace Adomic is corporate regulations and stonts ovsticwion

Chapter 11 Cancellation Of Registration Of Company

Section 136 : Power of Office to cancel registration
Section 136A : Special arrangement regarding the winding up of the Company
Section 137 : Restoration of registration of company of which registration was cancelled

UNDERSTANDING SECTION 136: POWER OF OFFICE TO CANCEL REGISTRATION

1 GROUNDS FOR CANCELLATION

PROMOTERS APPLY

Promoters apply due to failure to commence business & pay fee.

THREE CONSECUTIVE YEARS

Fails to submit required returns OR pay fines for 3 consecutive financial years.

NO BUSINESS/OPERATION

The Office has reasonable grounds to believe the company is not carrying on business or is not in operation.

2 NOTICE & OPPORTUNITY TO RESPOND

ISSUE NOTICE

Office issues a notice stating reasons for proposed cancellation.

PUBLISH NOTICE

Notice may also be published in a national daily newspaper.

COMPANY RESPONSE

Company must provide reasons against cancellation within 2 months of receiving notice.

3 AFTER CANCELLATION

NOTIFY DIRECTORS & PUBLISH

Office notifies directors and publishes cancellation in a national daily newspaper.

NO CONTINUED BUSINESS

Company cannot continue business under the same name.

LIABILITIES CONTINUE

Existing liabilities of company, directors, officers, or shareholders continue & legal action still possible.

4 ASSETS & LIABILITIES

ASSET DEVOLUTION

Company assets, rights, & benefits devolve to shareholders according to shareholding.

TRUSTEE EXCEPTION

Property held as trustee does not transfer

PERSONAL LIABILITY

If remaining liabilities cannot be settled, responsible individuals may be personally liable.

REMAINING PROPERTY

Office returns remaining property to shareholders after deducting cancellation expenses.

SECTION 136A: SPECIAL ARRANGEMENT REGARDING THE WINDING UP OF THE COMPANY

ELIGIBILITY

A COMPANY (at section commencement) NOT CARRYING ON BUSINESS/OPERATION & FAILED TO:

1. Submit returns under Section 80.
2. Pay fines accrued under Section 81.

Can apply for cancellation of its registration.

DECISION TO APPLY

General Meeting passes a resolution.

IF Meeting NOT possible:
Directors/Shareholders present can decide to close company and apply.

APPLICATION REQUIREMENTS

- Submit in prescribed format.
- Furnish pending Section 80 returns.
- Pay LOWER OF:
  - Applicable fine under Section 81
  - OR 0.5% of Paid-up Capital.

TIME LIMIT

File application within TWO YEARS from the commencement of Section 136A.

PUBLIC NOTICE

Office publishes notice in a NATIONAL DAILY NEWSPAPER.
Allows 30 DAYS for objections.

CANCELLATION OF REGISTRATION

If NO valid OBJECTION, Office cancels registration.
Notifies Directors and publishes on its website.

LIABILITY AFTER DISSOLUTION

Company liabilities and obligations CONTINUE. Settled in accordance with Section 136.

SECTION 137: RESTORATION OF REGISTRATION OF COMPANY OF WHICH REGISTRATION WAS CANCELLED

APPLICATION FOR RESTORATION

A company, shareholder, or creditor may apply to the Court for restoration within 5 years from the publication of the cancellation notice u/s 136(5) or 136A.

GROUNDS FOR RESTORATION

CARRIING ON BUSINESS

RESTORATION
The company was actually carrying on business when its registration was cancelled.

PROPER MANAGEMENT

PROPER MANAGEMENT
Restoration is necessary for proper management of the company's assets and liabilities.

EFFECT OF RESTORATION

The company shall be deemed to have existed continuously from the date of its original registration.

The Court may issue necessary orders to restore the company and other persons to their original position.

CONDITIONS & PROPERTY RESTORATION

FINE PAID

Any outstanding fine under Section 81 must be paid before the company's name is re-entered in the company register.

REVERTING PROPERTY

Property or proceeds distributed to shareholders upon cancellation shall revert to the company.

CREDITOR PAYMENTS

CREDITOR PAYMENTS
Property or money already used to pay creditors' debts or liabilities shall not be returned.

Chapter 12 Protection Of Shareholders

Section 138 : Power to prevent directors and officers from doing unauthorised act
Section 139 : Remedy for act done against rights and interests of shareholders
Section 140 : Right to shareholder to institute case on behalf of company
Section 141 : Acquisition or sale of property

SECTION 138 & 139 – PROTECTION OF SHAREHOLDERS' RIGHTS

SECTION 138 : POWER TO PREVENT DIRECTORS AND OFFICERS FROM DOING UNAUTHORISED ACT

1 PETITION BY SHAREHOLDER

- If any director or officer of a company acts beyond his jurisdiction, any shareholder may petition the Court to prevent such act.

  Provided: No petition lies for acts done or intended to be done for fulfilment of any liability already created by the company.

2 COMPLAINT BY THE OFFICE

- If, based on the report under Section 124, the Office is satisfied that the company's business is or is likely to be carried on in a manner prejudicial to the rights and interests of any or all shareholders (or any class), or that any act or omission by the company is or would be prejudicial to such interests, the Office may file a complaint/petition before the Court against the company, its directors or officers.

3 COURT'S POWER

- On receipt of a petition under Sub-section (1) or (2), the Court may inquire into the company, its directors or officers and issue an appropriate order.

KEY TAKEAWAY – SECTION 138

Shareholders or the Office can approach the Court to stop or remedy unauthorised or prejudicial acts of directors or officers.

SECTION 139 : REMEDY FOR ACT DONE AGAINST RIGHTS AND INTERESTS OF SHAREHOLDERS

1 PETITION BY SHAREHOLDER

- A shareholder may petition the Court if the company's business or any act/omission is or is likely to be prejudicial to his/her rights and interests.

2 BURDEN OF PROOF

- The shareholder must prove that the director, managing director, manager or officer has acted or intends to act with ulterior motive or made/ intends to make undue discrimination, in contravention of the memorandum, articles or consensus agreement.

3 COURT'S POWER

- On inquiry, if the Court finds the claim to have merit, it may issue such order in the name of the company as it thinks appropriate.

4 ORDERS THE COURT MAY ISSUE

(Without prejudice to generality)

a. Prevent prejudicial acts and ensure proper conduct of business.
b. Prevent acts or omissions or require performance of omitted acts.
c. Direct the company to institute a civil case as directed by the Court.
d. Order buy back of a shareholder's shares (capital reduction) and return the amount.
e. Award compensation to a shareholder for loss/damage due to discrimination.
f. Order winding up (liquidation) of the company.
g. Direct the company or any shareholder to purchase shares of a shareholder.
h. Order recovery of loss/damage caused to the company or shareholders from responsible director/officer.
i. Order reduction of share capital (as if by special resolution) and necessary amendment to memorandum/articles.

5 OTHER REMEDIES NOT BARRED

- Remedies under this Section are in **addition** to other legal remedies available under prevailing law.

6 COLLECTIVE REMEDY

- For collective remedy, the Court may issue appropriate order with or without inquiry into some or all shareholders of that class.

7 COURT'S PRIOR APPROVAL

- If the Court has ordered that the company shall not amend its memorandum/articles or shall amend any specific matter for protection of shareholders' rights, no amendment shall be made without prior approval of the Court.

8 AMENDMENTS BY COURT ORDER

- Any amendment to memorandum/ articles made pursuant to a Court order shall be deemed to be adopted by special resolution of the general meeting.

9 ENTRY IN COMPANY REGISTER

- The Office shall enter in the company register the Court orders relating to:
  - a Reduction of share capital.
  - Amendment to memorandum or articles.

10 PERSONS DEEMED SHAREHOLDERS

- This Section also applies to persons whose **shares are already transmitted to their name through legal procedures but who are not yet registered as shareholders.**

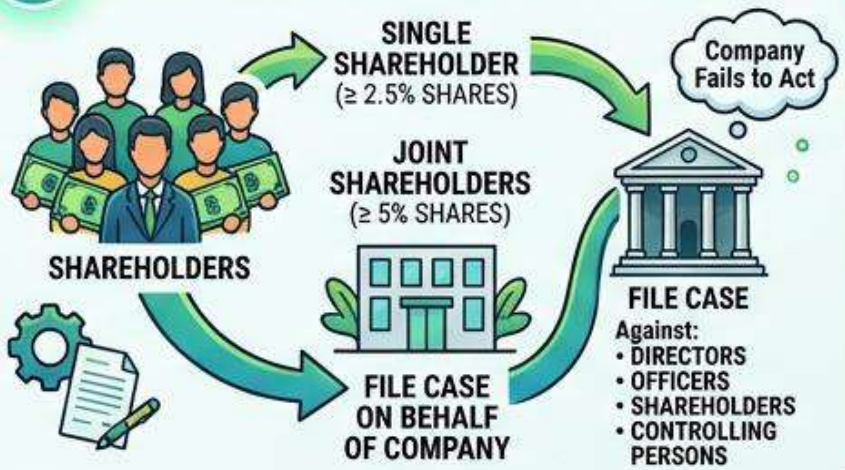
OBJECTIVE: To prevent abuse of power by directors/officers and to provide effective remedies for protection of shareholders' rights and interests.

Remedies available under Sections 138 & 139 are in addition to other remedies under prevailing law.

SECTION 140: RIGHT TO SHAREHOLDER TO INSTITUTE CASE ON BEHALF OF COMPANY

1 COMPANY'S RIGHT TO SUE

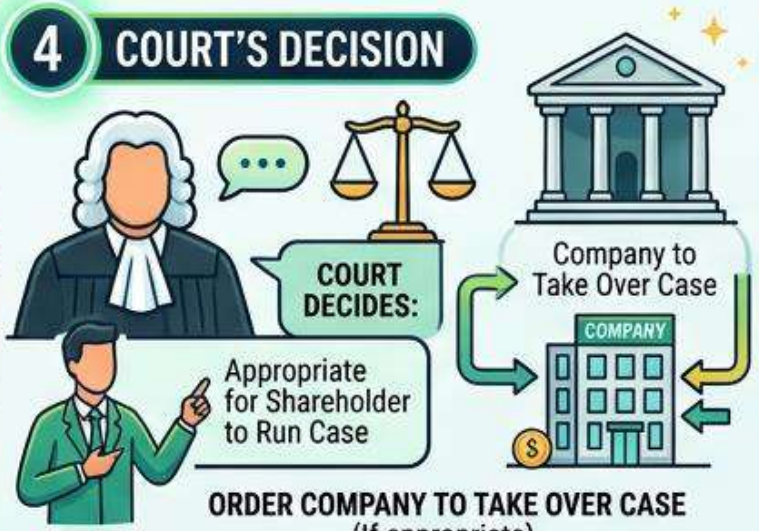
2 SHAREHOLDER'S DERIVATIVE ACTION



3 EFFORTS TO PERSUADE COMPANY

STATE EFFORTS made to persuade the company to institute the case itself

4 COURT'S DECISION



ORDER COMPANY TO TAKE OVER CASE
(If appropriate)

5 CASE DISMISSAL OR COMPROMISE

6 EXPENSES AND REIMBURSEMENT

SECTION 141: ACQUISITION OR SALE OF PROPERTY

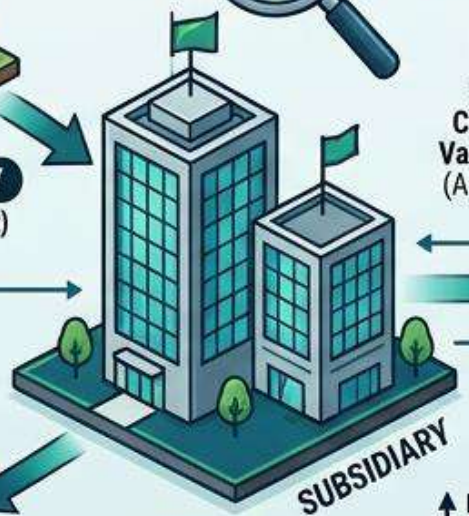
REGULATORY REPORTING REQUIREMENTS

PART 1: WHEN TO NOTIFY THE OFFICE (SUBSECTION 1)

a ACQUISITION OF PROPERTY

PUBLIC COMPANY
(e.g. land, equipment)

If **Property Value** or **Consolidated Property Value increases by >15%** (Audited Fin. Statement)



*Also report to BOD in annual report if applicable.

PROCEEDS

If Income from Sold Property > 15% of Consolidated Income Before Tax (Audited Books)

b SALE OF PROPERTY

PART 2: DETAILS REQUIRED IN INFORMATION (SUBSECTION 2)

1 DATE & PARTIES

Date of Transaction and Parties involved.

2 PROPERTY NATURE

IF SHARES INCLUDE:

- (A) Issuing Company Name
- (B) Nature of Business

Nature of property. Details of any shares included.

3 VALUE & TERMS

Transaction Value, and Other Terms & Conditions.

4 VALUATION GROUNDS

Grounds/Method pursued for valuation.

5 PROCEEDS vs. BOOK VALUE

=

BOOK VALUE

vs.

SALE PROCEEDS

PROFIT or LOSS

If proceeds > or < than Book Value in company records.

SUBSECTION (2) requirements must alvo be in BoD report

Chapter 13 Holding And Subsidiary Companies

Section 142 : Control over subsidiary company
Section 143 : Documents to be enclosed
Section 144 : Prohibition on investment in holding company

SECTION 142: CONTROL OVER SUBSIDIARY COMPANY

① METHODS OF CONTROL

FORMATION OF BOARD
Appointing Majority Directors

MAJORITY SHAREHOLDING

HOLDING COMPANY

Direct Control

Indirect Control

SUBSIDIARY COMPANY

② SUBSIDIARY LAYERING

Holding Co. → Subsidiary 1 → Subsidiary 2
(former is also subsidiary of Holding Co.)

③ FIDUCIARY EXEMPTIONS

Agent/Nominee actions still constitute control.

EXCEPTIONS (NOT COUNTED)

(a) Debenture Holders/ Trust Deed

(b) Lending Credit Security (e.g., bank with security shares)

SECTION 143: DOCUMENTS TO BE ENCLOSED

① ENCLOSURES FROM SUBSIDIARY

- (a) **ANNUAL ACCOUNTS & BOD REPORT** (last FY)
- (b) **AUDITOR'S REPORT** (with profit/loss details)
- (c) **INVESTMENT DETAILS** (at end of FY)
- (d) **PERIOD DIFFERENCE EXPLANATION** (changes if different FYs)

AUDITOR'S REPORT

- **NET PROFITS** (after deducting loss)
- **UNDECLARED PROFIT/ LOSS** (concerning Holding Co. shareholders)

INVESTMENT DETAILS

- **LOANS ON IMMOVABLE PROPERTY**
- **NON-LIABILITY LOANS**

Failed to get info → Include Written Report

SECTION 144: PROHIBITION ON INVESTMENT IN HOLDING COMPANY

NO SUBSIDIARY COMPANY SHALL:

- **PURCHASE SHARES OR DEBENTURES** of Holding Co.
- **MAKE ANY OTHER INVESTMENT** in Holding Co.

Chapter 14 Special Provisions Relating To Private Company

Section 145 Consensus agreement
Section 146 : Power of shareholder to inspect books of account
Section 147 : Return of transactions
Section 148 : Holding of annual general meeting not required
Section 149 : Adoption of written resolution by private company
Section 150 : Deemed participation in general meeting
Section 151 : Special exemption companies carrying on prescribed transaction

SECTION 145: CONSENSUS AGREEMENTS (PRIVATE COMPANIES)

A Framework for Custom Governance

SEC 145(1): MATTERS FOR A CONSENSUS AGREEMENT

1(a) MANAGEMENT & BUSINESS

Defines management, business, transactions

1(b) SHARE TRANSFER RESTRICTIONS

Any restrictions on transfer

1(c) LIQUIDATION POWER

Shareholders' power to liquidate for specific events or voluntarily

1(d) VOTING RIGHTS

Division or use of voting rights

1(e) APPOINTMENT TERMS

Officers, employees, worker terms

1(f) DIRECTORS & LEADERS

Selecting directors, officers, ultimate responsibility, chief executive

1(g) DIVIDEND PAYMENTS

Mode of payment or distribution

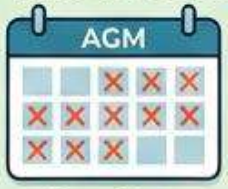
1(h) NO BOARD OF DIRECTORS

Establishing no board

1(i) ALTERNATIVE DIRECTORS

Who performs board functions if no board exists

1(j) AGM EXEMPTIONS



Provisions if Annual General Meetings are not required

1(k) SHARE TYPES & RIGHTS

Special rights for different share types

1(l) OTHER MATTERS

Operation, management, voting rights, special privileges, obligations

SEC 145(2): AMENDING THE AGREEMENT

REQUIRES WRITTEN CONSENT OF ALL PARTIES

SEC 145(3): BINDING NEW SHAREHOLDERS

(a) SHARES OBTAINED BY GIFT/DONATION

→ DEEMED CONSENT

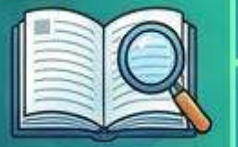
(b) SHARES OBTAINED WITH KNOWLEDGE

→ DEEMED CONSENT

CORPORATE GOVERNANCE: SECTIONS 146, 147 & 148 (PRIVATE COMPANIES)

SECTION 146: POWER OF SHAREHOLDER TO INSPECT BOOKS OF ACCOUNT

A shareholder of a private company or his/her proxy may inspect company records during office hours.



DOCUMENTS AVAILABLE FOR INSPECTION

- Minutes of General Meetings and Board of Directors' meetings.

- Share Register.

- Annual Financial Statements.

- Company Accounts.

DUTY OF DIRECTORS AND OFFICERS:

Directors and officers must make adequate arrangements to enable enable shareholders to inspect these documents and records.

SECTION 147: RETURN OF TRANSACTIONS

A shareholder of a private company may request a return of the company's transactions for any financial year.

The director, managing director, or responsible officer must provide the return along with the certified annual financial statements within **15 days**.

SECTION 148: HOLDING OF ANNUAL GENERAL MEETING NOT REQUIRED

A private company is not required to hold an Annual General Meeting (AGM) if a consensus agreement among shareholders provides that the AGM shall not be held.

The exemption remains valid for the duration of the consensus agreement.

DECISION-MAKING ARRANGEMENT

The consensus agreement must specify:

- The procedure for making decisions on matters that would otherwise require a general meeting.
- The authority responsible for making such decisions.

GUIDELINES FOR PRIVATE COMPANIES IN NEPAL: CHAPTER-8 REGULATIONS (SECTIONS 149, 150, & 151)

SECTION 149: ADOPTION OF WRITTEN RESOLUTIONS

A. WHEN?
As an alternative to a General Meeting, unless otherwise provided in Articles of Association.

B. HOW?
WRITTEN RESOLUTION (SPECIAL & GENERAL)

C. APPROVAL REQUIREMENT

at least **75%** SHARES to Vote

On the same date

D. DATE OF ADOPTION
Last date a shareholder signs the resolution.

OPPORTUNITIES
on its stareholder of signa:d the resolution.

E. VALIDITY
RECOGNIZED FOR ALL PURPOSES as if a General Meeting decision.

F. SEPARATE DOCUMENTS
Different papers with same content are valid. Not necessary for all to sign the same sheet.

SECTION 150: DEEMED PARTICIPATION IN GENERAL MEETINGS

A. GENERAL RULE
SHAREHOLDERS COMMUNICATE WITH ALL using any communication means (Hearing or Reading).

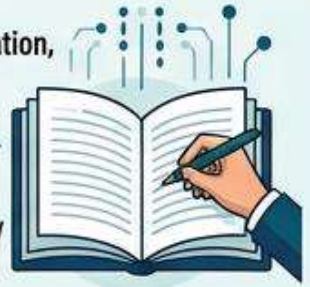
B. DEEMED PARTICIPATION
Every shareholder who takes part is considered to have attended the general meeting.

C. MEETING LOCATION
Held in the place where the CHAIRPERSON is present.

D. COMPLAINT / PETITION
A shareholder may file a complaint to the Office within 3 MONTHS, claiming non-participation. Must include prescribed fees.

E. COMPANY'S BURDEN OF PROOF
If company fails to prove participation, meeting decisions are INVALID.

F. MINUTES
CHAIRPERSON must prepare minutes annually and authenticate them.



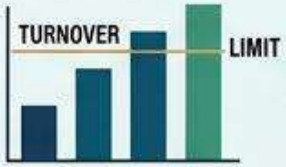
SECTION 151: SPECIAL EXEMPTION COMPANIES

A. SCOPE

GOVERNMENT OF NEPAL can exempt certain private companies.

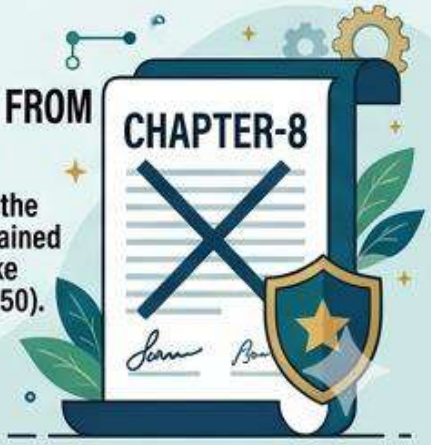
B. HOW?
By a Notification in the NEPAL GAZETTE.

C. ELIGIBILITY



Private company having TURNOVER WITHIN PRESCRIBED LIMIT.

D. EXEMPTION FROM CHAPTER-8
Exempted from the provisions contained in Chapter-8 (like sections 149 & 150).



Chapter 15 Provisions Relating To Single Shareholder Company

Section 152 : Single shareholder company not required to call meeting of the board of director and general meeting
Section 153 : Transfer and transmission of shares of single shareholder company

CHAPTER 15: PROVISIONS RELATING TO SINGLE SHAREHOLDER COMPANY.

SECTION 152: SINGLE SHAREHOLDER COMPANY NOT REQUIRED TO CALL MEETING.

DEFAULT RULE:
Acts & Decisions by Board or General Meeting must be **DECIDED IN WRITING** by the **SINGLE SHAREHOLDER.**

EXEMPTION:
NO Meeting of Board of Directors or General Meeting required to be called.

EXCEPTION:
Unless **OTHERWISE PROVIDED** in the Articles of Association.

SECTION 153: TRANSFER & TRANSMISSION OF SHARES IN SINGLE SHAREHOLDER COMPANY.

A. SHAREHOLDER'S DEATH

Heir/Person acquiring title gets **RIGHTS.**

B. TRANSFER/TRANSMISSION

Can do all acts as the Single Shareholder.

DECISION IN WRITING:
Heir makes decision in writing.

PROVISO:
If **NO HEIR** is found, Office appoints **LIQUIDATOR** & liquidates company.

C. INFORMATION & RECORD

INFORMATION TO OFFICE:
Give information & evidence within **1 MONTH** of acquisition.

RECORDING BY OFFICE:
Collects prescribed fees, records, & informs the new shareholder.

D. MULTIPLE HEIRS

Where >1 heir, they are considered **DIRECTORS** for the time being.

EXCEPT:
If others transfer title to **ONLY ONE HEIR.**

AMENDMENT:
Memorandum & Articles amended on that basis.

Competent Court judgment decides entitlement questions.

Chapter 16 Provisions Relating To Foreign Companies

Section 154 : Registration of foreign company
Section 155 : Submission of documents by foreign companies
Section 156 : Books of account, audit and annual report of foreign company
Section 157 : Power of attorney
Section 158 : Cancellation of registration and liquidation of a foreign company

SECTION 154: REGISTRATION OF FOREIGN COMPANY

Registration Requirement

Definition of Operating in Nepal

Branch Office

Liaison Office

- Must register with the Office before carrying out business or transactions.
- Carrying out transactions for **1 month or more**, maintaining an **office**, or **appointing a regular representative** is deemed to be operating.

Non-Business Activities

Investment in shares, lending money, or participating in management with approval is not considered carrying carrying on business.

APPLICATION & REGISTRATION PROCESS

APPLICATION & REGISTRATION PROCESS

- Permission from competent authority (if applicable, otherwise Office acts).
- Prescribed fees.
- Prescribed format.

Register company & issue certificate within 30 days.

Inform reasons for refusal within 30 days.

OPERATION & RESTRICTIONS

Registered company may operate **only the same type of business as home country.**

A liaison office cannot engage in **income-generating activities.**

Cannot be registered if **name or objectives** violate the Act.

Cannot issue shares or debentures in Nepal.

DISCLOSURE & RECORDS

Display name board showing:

- Company name,
- Country of incorporation,
- Nepal registration number.

Office maintains a **public register**, accessible upon payment of prescribed fees.

EXISTING FOREIGN COMPANIES: Already operating/maintaining liaison offices must register within 6 months of Act commencement.

SECTION 155: SUBMISSION OF DOCUMENTS BY FOREIGN COMPANIES

Guidelines for Registration and Liaison Office in Nepal

1) REQUIREMENTS ALONG WITH APPLICATION

SECTION 155

a) COMPENTENT AUTHORITY PERMISSION

Permission to carry on business or transaction in Nepal

b) CHARTER & INCORPORATION DOCS

Copies of Charter, Certificate of Incorporation, MoA, AoA, with Nepalese translations

c) COMPANY DETAILS

Full Name, Registered Office Address, Principal Place of Business, Date of Incorporation, Paid-Up Capital, Major Objectives

d) KEY OFFICERS & DIRECTORS

Names, Addresses of Directors, Managers, Company Secretaries or Main Officers, and Citizenship

e) AUTHORISED PERSON IN NEPAL

Name & Address of person residing in Nepal to receive Summons, Notices, etc.

f) NEPAL BUSINESS LOCATION

Full Address of the principal place of business in Nepal and the local office

g) INVESTMENT & TRANSACTION DETAILS

Details of proposed investment and transaction in Nepal (for business activity)

h) PROPOSED COMMENCEMENT DATE

Proposed date for commencing transactions in Nepal

i) DECLARATION BY DIRECTOR

Declaration that all submitted returns and details are true and correct

j) POWER OF ATTORNEY

Power of Attorney as per Section 157

2) NOTICE OF AMENDMENTS OR ALTERATIONS

Where amendments occur to any submitted document, notice & details must be given to the Office within **35 DAYS.**

3) CERTIFICATION OF FOREIGN DOCUMENTS

Documents issued outside Nepal must be **CERTIFIED** pursuant to the law of the country of registration

SECTION 155

SECTION 156: BOOKS OF ACCOUNT, AUDIT & ANNUAL REPORT

FINANCIAL STATEMENTS IN NEPAL (SUB-SEC 1 & 3)

- Prepare an Annual Financial Statement.
- Must reflect real situation in Nepal.
- Include details of
  - Properties
  - Cash in Nepal
  - Loans/Liabilities to Nepal residents.
- Submit within 6 months.

AUDIT REQUIREMENT (SUB-SEC 1)

- Get the financial statement audited.
- Submit the audited report to the Office.

DOCUMENTS FROM REGISTERED OFFICE (SUB-SEC 2 & 4)

- Submit copies of Financial Statement, Audit Report, and Board Report from country of origin.
- Within 3 months of preparation.
- Authentic English/ Nepali translation required if not in those languages.

LIAISON OFFICE STATEMENTS (SUB-SEC 5)

- For Liaison Offices, submit certified statements:
  - Salary/Allowances
  - Consultant payments
  - Tax deduction statements
  - Rent & expenses
- Submit within 3 months.

SECTION 157: POWER OF ATTORNEY

AUTHORIZED REPRESENTATIVE (SUB-SEC 1)

- Foreign company must appoint an Authorized Representative residing in Nepal.
- For receiving summons, notices, and legal action.
- Use specified Power of Attorney format from country of incorporation.

POWER OF ATTORNEY (SUB-SEC 1 & 2)

- Any summons/notice delivered to the authorized representative is binding on the foreign company for all purposes.
- Valid for lawsuits by or against the company.

Based on legal provisions. Consult for full details.

SECTION 158: CANCELLATION OF REGISTRATION AND LIQUIDATION OF A FOREIGN COMPANY IN NEPAL

1 INITIATION & APPLICATION
(Sub-sec 1 & 2)

VOLUNTARY CLOSURE OR COMPETENT AUTHORITY ORDER

- A foreign company in Nepal wishes to close ow or is prohibited by a competent authority.
- Submit an application to the Office for cancellation.
- Includes confirmation of NO liabilities.
- Prescribed fees are paid.

2 VERIFICATION & PUBLIC NOTICE
(Sub-sec 2 & 3)

LIABILITY CLEARANCE & PUBLIC NOTICE

- Submit evidence that no liability is due in Nepal (persons, orgs, gov).
- The Office publishes a notice in a national daily newspaper twice, inviting claims within 21 days.

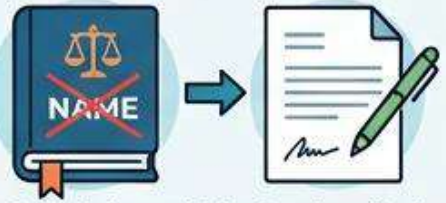
3 HANDLING CLAIMS
(Sub-sec 4)

CLAIM SETTLEMENT

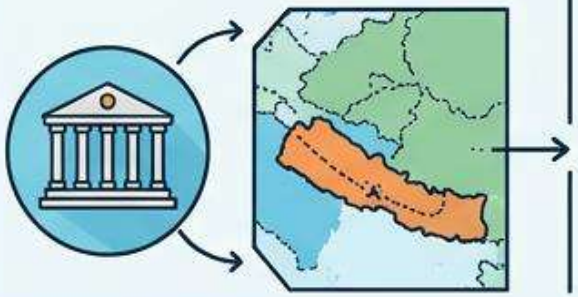
- If claims are made, the company must submit proof of settlement.
- If Nepal assets are insufficient, assets outside Nepal must be used.

4 FINAL CANCELLATION
(Sub-sec 5)

STRIKING OFF & CONFIRMATION



- If no claims within the time limit **OR** proof of settled claims, the Office strikes the company name off the register.
- Official information is given to the company.



INSOLVENCY
(Sub-sec 6 & 7)

FOREIGN INSOLVENCY & PROVISO

- If insolvency is initiated abroad, the authorized representative gives prompt written notice to the Office.
- Notice published in a Nepal newspaper.
- IF registration cancellation order already issued (**PROVISO**), company closes transaction in Nepal.
- Transaction governed by Nepal's prevailing law on insolvency.

Chapter 17 Proceeding Of Lawsuits And Punishments

Section 159 : Complaints and proceedings relating to cases under this Act
Section 160 : Punishment with fine not exceeding fifty thousand rupees or with imprisonment for a term not exceeding two years or with both
Section 161 : Punishment with fine not exceeding fifty thousand rupees
Section 162 : Punishment with fine not exceeding twenty thousand rupees
Section 163 : Realisation of amount of loss

SECTION 159: COMPLAINTS AND PROCEEDINGS

FILING OF CASES

Filing → Office → Director, Officer, Shareholder, Member, Creditor, or Any other concerned person

JURISDICTION OF COURT

- Offenses punishable
- Applications/Complaints allowed
- Compensation/Disputed claims

Summary Procedures Act, 2028

APPEAL

Appeals to Designated Court within 35 days →

LIMITATION PERIOD

- Complaint must be filed within 2 years from date cause of action becomes known

TRANSITIONAL PROVISION

Government →

Company Board exercising jurisdiction until a Court is designated

SECTION 160: PUNISHMENT (FINE/IMPRISONMENT)

Fine <= 50k Rupees OR Imprisonment <= 2 Years OR Both

FALSE COMPANY DOCUMENTS

- Mala Fide intent, false statement

BOOKS OF ACCOUNT VIOLATIONS

- Failure to maintain, concealment, concealment, destruction

FALSE AUDIT REPORT

- False reports, omitting necessary remarks, Mala Fide intention

LIQUIDATOR MISCONDUCT

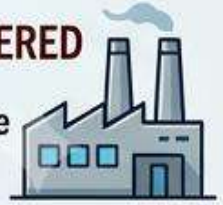
- Failure to maintain records, follow priorities, submit reports, take/handover

FAILURE TO HANDOVER COMPANY ASSETS

- Directors/Officers inoure failing to transfer aow assets, cash, documents

FALSE OR UNREGISTERED PROSPECTUS

Issuing prospectus before registration, containing false info



UNAUTHORIZED COMPANY ACTS

Acting beyond board authority or company objectives

SECTION 160: PUNISHMENT WITH FINE NOT EXCEEDING FIFTY THOUSAND RUPEES OR WITH IMPRISONMENT FOR A TERM NOT EXCEEDING TWO YEARS OR WITH BOTH

1

1 False Returns by Shareholders:
Failure to provide required returns or providing false returns.

2

2 Misappropriation of Company Assets:
Embezzlement, unauthorized personal use of company funds/assets, failure to settle advances, or disobedience of Office orders.

3

3 Failure to Provide Required Information:
Directors or officers failing to provide required statements or information to the company, Office, Court, or authorities.

4

4 Disqualified Auditor Acting as Auditor:
Auditor knowingly conducting an audit despite being disqualified.

5

5 Abuse of Authority:
Directors or officers exercising powers not granted or acting beyond their authority.

6

6 Improper Maintenance of Accounts:
Maintaining accounts contrary to the Act.

7

7 Failure to Provide Financial Information:
Failure to provide extracts of financial statements, annual financial statements, or reports to shareholders.

8

8 Unauthorized Loans or Remuneration:
Directors, substantial shareholders, or companies receiving or giving benefits contrary to the Act.

9

9 False Information During Capital Reduction:
Giving false information or hiding creditor details while seeking Court approval for reduction of share capital.

10

10 Illegal Issue of Shares/Debentures:
Private company, directors, or shareholders selling shares or debentures contrary to the Act.

11

11 Foreign Company Violations:
Foreign companies, their directors, employees, or representatives carrying on business in Nepal contrary to the Act.

12

12 Breach of Duty by Debenture Trustee:
Debenture trustee, its directers, or efficers acting against debenture holders' interests.

13

14 Failure to Comply with Section 60:
Director or officer failing to perform duties required under Section 60.

15

16 Failure to Provide Information under Sections 141 or 175:
Company, director, or officer failing to provide required information or notice.

17

17 Failure to Provide Shareholder Information:
Shareholders failing to provide required information under Section 47, or company/directors/officers failing to submit such information to the Office.

18

18 Violation of Section 105:
Directors or officers acting contrary to restrictions on their authority.

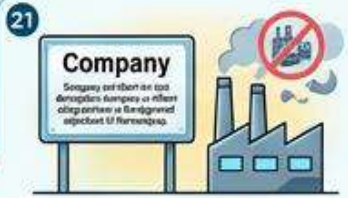
19

19 Failure to Provide Registered Office Address:
Managing director, director, or officer failing to provide the registered office address despite orders of the Office.

20

20 Violation of Section 50:
Company, director, substantial shareholder, or officer acting contrary to Section 50.

21



21 Acting Beyond Approved Objectives:
Company or officer acting contrary to the approved objectives of the company.

22

22 False Inspection Report:
Inspector appointed under Section 121 submitting a false report.

*Penalties as prescribed in Section 160 of the Companies Act.

SECTION 161: PUNISHMENT WITH FINE NOT EXCEEDING FIFTY THOUSAND RUPEES

1 Illegal Allotment of Shares:
Officer or person allotting shares in contravention of the Act.

2 Unauthorized Purchase/ Investment:
Directors responsible for a company purchasing its own shares or holding company's shares from capital stock, or making investments contrary to the Act.

3 Failure to Provide Accounts for Audit
Officer or person failing to provide books of accounts to the auditor when required.

4 Failure to Submit Audit Report
Auditor failing to submit the audit report as required under the Act.

5 Failure to Make Required Arrangements (Section 172(3)):
Director, manager, or officer failing to make arrangements requiregments required required under Section 172(3).

6 Violation of Sections 146 or 147:
Director or officer violating Sections 146 or 147 or failing to maintain required records, books, or returns.

7 Violation of Chapter 18
Company, director, auditor, officer, or employee violating provisions or failing to perform duties and obligations under Chapter 18.

8 Failure Related to Meetings &
Failure to:
- Call required General Meeting or Board Meeting
- Send required notices
- Prepare documents for shareholders
- Present required documents at meetings.

8 Failure Related to Meetings & Documents:
Failure to:
- Call required General Meeting or Board Meeting
- Send required notices
- Prepare documents for shareholders
- Present required documents at meetings

9 False Minutes or Records
Officer recording false facts in minutes, returns, reports, notices, or information required under the Act.

10 False Declaration During Cancellation
Director making a false declaration under Section 136(2) regarding company cancellation.

11 False Translation of Foreign Company Documents
Person making or certifying false or incorrect translations of documents submitted by a foreign company to the Office.

*Offenses as prescribed in Section 161 of the Companies Act.

OFFENCES & LIABILITIES UNDER THE ACT

SECTION 162: PUNISHMENT WITH FINE NOT EXCEEDING TWENTY THOUSAND RUPEES

For any **company, director, managing director, manager, company secretary, officer, or employee** who:

1. Fails to perform any duty required under the Act.

2. Performs any act prohibited under the Act.

3. Fails to comply with prescribed procedures, time limits, or requirements.

4. Fails to provide required information or notices to the Office.

5. Fails to submit required details, returns, or documents to the Office.

For offences other than those mentioned in 160 & 161

FINE
up to
20,000
RUPEES

SECTION 163: REALISATION OF AMOUNT OF LOSS

PERSONAL LIABILITY

A director, officer, or any person who causes loss or damage to a company, shareholder, creditor, or any other person by:

Committing an offence under the Act;

Violating the provisions of the Act;

Violating the memorandum of association, articles of association, or consensus agreement;

shall be personally liable for such loss or damage.

shall be personally liable for such loss or damage.

RIGHT TO COMPENSATION

The aggrieved company, shareholder, creditor, or any affected person is entitled to recover the amount of loss or damage from the responsible person.

Chapter 18 Audit Committee

Section 164 : Audit Committee
Section 165 : Functions, duties and powers of audit committee

SECTION 164: AUDIT COMMITTEE

1 FORMATION OF AUDIT COMMITTEE

Mandatory for:

- Listed companies with paid-up capital of NPR 30 million or more,
- Companies fully or partly owned by the Government of Nepal.

The committee shall be chaired by a director not involved in day-to-day operations and shall consist of at least 3 members.

2 ELIGIBILITY & COMPOSITION

Close relative of the Chief Executive cannot be a member.

At least one member must have:

- A professional accounting certificate, or

- A bachelor's degree in accounts, commerce, management, finance, or economics with relevant accounting/ financial experience.

The company must provide adequate resources, and the committee may establish its own internal procedures.

3 FUNCTIONS & POWERS

May call [the figures above] to attend meetings and provide information.

The Board of Directors must implement audit committee recommendations on accounts and financial management or explain reasons for non-implementation.

4 REPORTING & RESOURCES

The Board's report shall disclose:

- Activities of the audit committee,
- Implementation of its recommendations,
- Allowances/facilities received by members, and
- Names of committee members.

5 MEETINGS

Chairperson

The Chairperson of the audit committee shall attend the Annual General Meeting (AGM).

The audit committee shall meet as necessary.

SECTION 165: FUNCTIONS, DUTIES & POWERS OF AUDIT COMMITTEE

FINANCIAL REPORTING & AUDIT

(Relevant to (a), (c), (h))

REVIEW & SUPERVISE FINANCIALS

(a) Review Accounts & Financial Statements, Verify Facts.

(c) Supervise & Review Internal Auditing Activity.

(h) Comply with Long-term Audit Reports where required.

RISK & INTERNAL CONTROLS

(Relevant to (b))

INTERNAL CONTROLS & RISK

(b) Review Internal Financial Control System & Risk Management System.

AUDITOR SELECTION & MANAGEMENT

(Relevant to (d), (e), (f))

EXTERNAL AUDITOR OVERSIGHT

(d) Recommend Potential Auditors, Fix Remuneration, Terms & Conditions for General Meeting.

(e) Review & Supervise Auditor Compliance with Standards/ Directives.

(f) Formulate Policies for Auditor Appointment & Selection.

POLICIES & BOARD MANDATES

(Relevant to (g), (i))

POLICIES & BOARD DUTIES

(g) Prepare & Enforce Accounts Related Policy.

(i) Perform terms prescribed by Board on Accounts, Finance & Audit.

Based on Section 165 of the Law.

Chapter 19 Provisions Relating To Company Not Distributing Profits

Section 166 : Establishment of company not distributing profits
Section 167 : Special provisions relating to company not distributing profits

SECTION 166: ESTABLISHMENT OF COMPANY NOT DISTRIBUTING PROFITS

PURPOSE OF INCORPORATION

Promotion and development of any profession or occupation.

Protection of collective rights and interests of persons engaged in a profession or occupation.

Scientific, academic, social, charitable, public utility, or welfare objectives.

Such companies shall **not distribute dividends.**

REGISTRATION

Any person, trustee of a public trust, or corporate body may apply for registration with the Office pursuant to Section 4.

NAME & BRANCH EXPANSION

The company cannot use words such as "Company," **"Company," "Limited," or "Private Limited"** in its name without **prior approval of the Office.**

Prior approval of the Office is required to **establish or expand branches.**

PROMOTERS & MEMBERSHIP

Minimum **5 promoters** are required for incorporation.

After incorporation, the company must maintain at least **5 members**, with **no maximum limit.**

Membership is **non-transferable** and **automatically terminates** upon:

Death of a member.

Cancellation of **registration** or **dissolution** of a member body.

Amalgamation of a member with another body/company.

Section 167: Special provisions relating to company not distributing profits

Capital & Liability

- **No share capital** is required for incorporation.
- The company may receive **membership fees, donations, and gifts** as permitted by law.
- Members are **not liable for company debts**, except where they have accepted liability in writing, limited to the agreed amount.

Violation & Cancellation

- The Office may cancel registration for violation of these provisions after giving the company an opportunity to defend itself.
- An appeal against cancellation may be filed in Court within **35 days** of receiving the decision.

Application of Law & Use of Profits

- Provisions applicable to listed companies (except those relating only to share capital) apply to the company, its **directors, officers, auditors,** and **employees.**
- **No dividends, bonuses, or profit distribution** to members or employees.
- Profits must be used for **increasing company capital** or **achieving its objectives.**

Management & Operations

- Prior **approval** of the Office is required to **change the company's objectives.**

The company **cannot merge** with a **profit-distributing company.**

Directors are **elected** by members on the principle of **one member, one vote.**

Officer remuneration and **operational expenses** shall be within limits specified by the Office.

Administrative expenses **cannot exceed 25% of total expenditure.**

Liquidation & Assets

- Upon liquidation or cancellation, **remaining assets** shall be **distributed** according to the articles of association; otherwise, they shall devolve to the **Government of Nepal.**
- **Assets cannot be transferred** to any entity where a **promoter/member** or their close **relatives** have an interest.

Liquidation Process

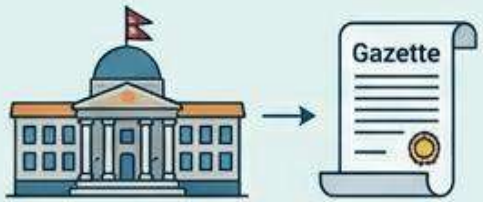
- Upon cancellation, the Office shall **appoint a liquidator and auditor** and specify the time for completing liquidation.
- The liquidator and auditor shall perform their duties according to the Act and prevailing law.

Chapter 20 Interim Provisions Relating To Company Advisory

Section 168 : Formation of Company Advisory Board
Section 169 : Provisions relating to Company Board
Section 170 : Provisions relating to secretariat and employee of Company Advisory Board and Company Board
Section 171 : Dissolution of Company Board

Section 168: Formation of Company Advisory Board

Formation & Composition



- Government of Nepal forms by Nepal Gazette notification.
- Board has maximum 9 members, including experts from:
  - Law
  - Accounting
  - Tax administration
  - Commerce or trade administration
  - FNCCI Representative. FNCCI
- Registrar acts as Member Secretary; one member as Chairperson.
- Members must have:
  - Bachelor's degree (in field)
  - 7 years professional experience (Govt. or Private sectors).

Functions

- Study practical issues in implementing company laws.
- Advise Government of Nepal on reforms in company law and administration.

- Law reform mechanism.

Reporting

- Submit an annual report of activities to the concerned Ministry.
- Ministry shall publish and make available to the public at reasonable price.

Finalized of the entire advisory board working together

SECTION 169: ESTABLISHMENT AND POWERS OF THE COMPANY BOARD

Government of Nepal

1 COMPOSITION

THREE-MEMBER BOARD ← Notification in Nepal Gazette

(a) CHAIRPERSON

Current or Former District Judge, or qualified. Bachelor's in Law. Experience in **Commercial Law.**

(b) MEMBER

Advocate for 10+ years in Commercial Law, OR Gazetted Class Two of Nepal Judicial Service for **4+** years.

(c) MEMBER

Bachelor's in Management, Commerce, or Accounting. Worked 10+ years in Company Management, Tax, or Accounting.

OR

Accounting Professional with 5+ years experience.

2 ALTERNATE DESIGNATION

GOVERNMENT OF NEPAL → Designate Member from Company Advisory Board (Sec 168)

Must have the qualifications above.

Summary Procedures

3 COURT'S JURISSDICTION

COURT

Exercised by the newly formed Board

4 HEARING & DECISION PROCEDURES

Summary Procedures

(a) Quorum

Three joint exercise **Provided:** (C+M1) can hear and settle; (M1+M2) can only hear

(b) Presence of All Three

3 Opinions (Unanimous)

2 Vs 1 Opinions (Majority)

DECISION

(c) Presence on

Both same opinion

DECISION

DECISION

(d) Two Members, No Unanimity

In Proceedings: Chairperson's opinion prevails. (If no C, Senior Member's prevails)

For Final Judgment:
- Submitted to absent member.
- Absent member's support decides.

(e) Impasse

All different opinions

OR

No majority established

In Proceedings: Chairperson prevails.

For Final Judgment: Appeal to Court.

5 LOCATION

Locate itself in any place in Nepal, as needed.

6 PROCEDURES

Summary Procedures Act, 2028 (1971) followed.

7 APPEAL

Unsatisfied party can appeal to Appellate Court within 35 Days of Decision Receipt.

8 TERMS & CONDITIONS

Remuneration & conditions prescribed. Cannot be reduced after appointment.

9 EXISTING BOARD

COMPANIES ACT, 2053 (1996) → COMPANIES ACT, 2053 (1996)

Existing Board continues until new Board formed.

10 CASE TRANSFER

Pending cases & petitions transferred to New Board and heard.

SECTION 170 & 171: PROVISIONS FOR COMPANY BOARDS IN NEPAL

SECTION 170: SECRETARIAT & EMPLOYEES

1 COMPANY ADVISORY BOARD (SECTION 168)

LOCATION
Secretariat shall be situated in the **Company Registrar's Office**.

2 COMPANY BOARD (SECTION 169)

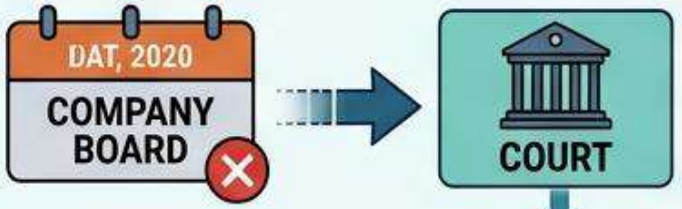
LOCATION
Secretariat shall be situated in the **Ministry of Industries**.

3 COMPANY BOARD EMPLOYEES

STAFFING
Have such number of employees as specified by the Government of Nepal.

SECTION 171: DISSOLUTION OF COMPANY BOARD

4 DISSOLUTION TRIGGER



THE PROCESS
Ipso facto dissolved when Government of Nepal designates the Court via notification in Nepal Gazette.

COURT DESIGNATION DATE

5 TERMINATION OF PERSONNEL

CHAIRPERSON & MEMBERS
Appointment terminated (*ipso facto*).
No Compensation.

BOARD EMPLOYEES
Appointment terminated.
No Compensation.

DEPUTED EMPLOYEES → FORMER OFFICE
Deputation terminated.
Return to original office.
No additional amounts to be paid.

6 TRANSFER OF CASES & PETITIONS

All cases & petitions under consideration transferred to the Court.

STATUS: DECIDED BY COURT

Chapter 21
Miscellaneous

Section 172 : Record of company and use of computer
Section 173 : Conversion of corporation owned by government of Nepal into Company
Section 174 : Predecessor to handover charge to successor
Section 175 : Transactions between associated companies
Section 176 : Restriction on transaction between companies
Section 177 : Merger of a company
Section 178 : Power to give directive
Section 179 : Bonus share
Section 180 : Act done or action taken in contravention of this Act or the articles of association to be void
Section 181 : Notice on business of company
Section 182 : Dividend
Section 183 : Investor protection fund
Section 184 : Office of company
Section 185 : Appointment of company secretary
Section 186 : Functions, duties and powers of company secretary
Section 187 : Validity of agreement between shareholders
Section 187A : Works to be done for prevention of money laundering
Section 188 : Effect of inoperativeness of the Companies Ordinance, 2062(2005)

NEPAL COMPANIES ACT: KEY SECTIONS

SECTION 172 | RECORD OF COMPANY & USE OF COMPU

RECORDS MAINTAINED

Registers, Accounts

ELECTRONIC FORMAT

Digital records

NON-LEGIBLE FORM

Non-Legible Data

REQUIREMENTS:

(a) EASILY ACCESSIBLE PLACE

Viewable & Copies Obtained

(b) ADEQUATE ARRANGEMENTS

No Alteration/Destruction Easily Traced

(c) LEGIBLE REPRODUCTION

Can Be Made Legible

WEB SITE RECORDS

DATE OF PREPARATION & AMENDMENT

INSPECTION & COPIES

Provide Legible Copies for Inspection

SECTION 173 | CONVERSION OF GOV. CORP. INTO COMPANY

GOV OF NEPAL CONVERSION

Convert Public Corp/Board

INCORPORATION

SHAREHOLDER NUMBERS

No Restriction on Promoters/Shareholders

PROPERTY & CAPITAL

Assets & Liabilities Devolve Convert to Share Capital

DIRECTORS

Number specified in Articles No Share Subscription required

BULK SALES

Sell Shares to Private Sector (Bulk, Negotiation, Stock Exchange)

SECTION 174 | PREDECESSOR TO HANDOVER CHARGE TO SU

PREDECESSOR BREAKDOWN

Breakdown of Reinstatement

DOCUMENTS & RECORDS

Documents & Records in Charge

HANDOVER PROCESS

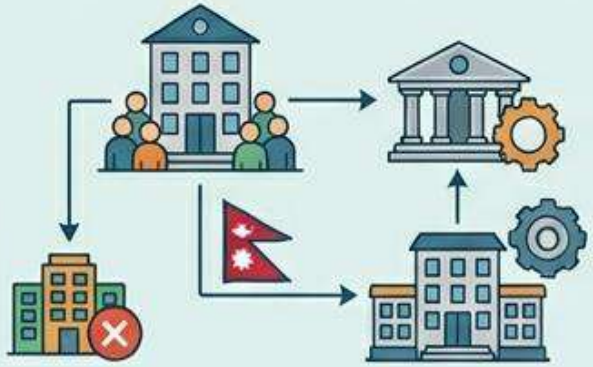
To Present Director/Officer/Employee

TIMELINE

Within Thirty Days of Breakdown

Section 175: Transactions between associated companies

Associated Company Transactions: A transaction is considered an associated company transaction when companies within the following relationships provide loans, financial assistance, guarantees, securities, pay liabilities, or conduct non-ordinary business transactions:



- A company and its holding company.
- A company and another subsidiary of its holding company.
- A subsidiary company and its holding company.
- A subsidiary company and another subsidiary of the same holding company.

Disclosure Requirements: Associated companies must notify their shareholders and the Office as soon as possible, including:

- ☑ Date of the transaction and parties involved.
- ☑ Nature of the transaction and the amount/value of any loan, financial assistance, guarantee, or security.

Section 176: Restriction on transaction between companies

Restrictions: A company shall not, directly or indirectly other than without Special Resolution (SR) in General Meeting (GM):

- ✗ Transfer its paid-up capital and accumulated profits (up to 60% of free reserves or 100% of accumulated profits, whichever is higher) to another company.
- ✗ Provide security for loans taken by another company.
- ✗ Invest in the securities of another company.

Exceptions: These restrictions do not apply to:

- ✓ Banking and financial institutions.
- ✓ Insurance companies.
- ✓ Companies primarily engaged in purchasing, selling, or investing in securities.
- ✓ Private companies that have not taken loans from banks or financial institutions.
- ✓ Companies established for physical infrastructure development.
- ✓ Investments, securities, or loan

Record-Keeping Requirement:

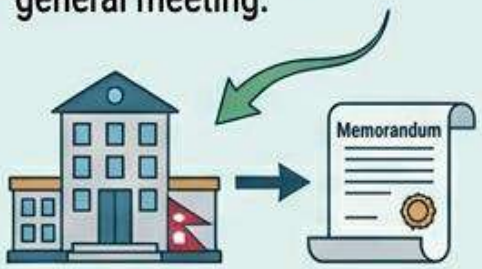
Companies must maintain prescribed records of:

- Investments made in other companies.
- Security provided to other companies.
- Guarantees or security given for loans taken by other companies.

Section 177: Merger of a company

Approval for Merger

- A piblic company may merge with another company through a special resolution passed in the general meeting.



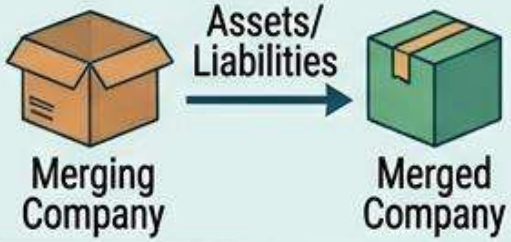
- A private company may merge according to its memorandum of association, articles of association, or consensus agreement.
- A merger between a public and private company shall result in the company being treated as a public company.

Application to the Office

- The company shall apply to the Office for approval within 30 days of the merger decision, including:

Office Approval

- The Office shall review the application and issue a decision within 3 months.
- Upon approval, all assets and liabilities of the merging company transfer to the merged company.
- The Office shall maintain separate records of the merging company.



Shareholders' Rights

Unless otherwise provided in company documents, a shareholder who does not consent to the merger, share alteration/transfer, or sale of all assets may:

- Request valuation of company assets.
- Receive the value of his/her shares from the merging company.

Restrictions

- The Office shall not approve a merger that creates a monopoly, unfair trade restriction, or is against public interest.

- The provisions also apply to mergers between non-profit distributing companies.

MODERN BUSINESS INFOGRAPHIC

SECTION 178: POWER OF THE OFFICE TO ISSUE DIRECTIVES & SECTION 179: BONUS SHARES

GOVERNMENT OFFICE AUTHORITY

PART A: SECTION 178: POWER OF THE OFFICE TO ISSUE DIRECTIVES

OFFICE AUTHORITY & INQUIRY

RECEIVING INFORMATION

FAILURE TO PERFORM DUTIES

ACTS CONTRARY TO LAW

OFFICE CONDUCTS INQUIRY

ISSUE DIRECTIVES

COMPLIANCE REQUIRED

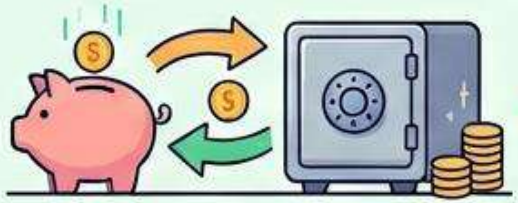
- PERFORM REQUIRED ACTS
- REFRAIN FROM PROHIBITED ACTS

PART B: SECTION 179: BONUS SHARES

BONUS SHARES: ISSUANCE PROCESS

1 SPECIAL RESOLUTION

2 OUT OF DISTRIBUTABLE DIVIDENDS



AMOUNT AVAILABLE FOR DIVIDENDS

ISSUE BONUS SHARES TO SHAREHOLDERS

3 GIVE INFORMATION TO OFFICE

PART B: SECTION 179: BONUS SHARES

Section 180 : Act done or action taken in contravention of this Act or the articles of association to be void

Unless otherwise provided by the Act, memorandum of **association**, or **articles of association**:

- Any act required to be done under the Act or company documents but not performed; or
- Any act prohibited under the Act or company documents but carried out,

→ shall be void and have no legal effect.

Section 181 : Notice on business of company

Written waiver:

A notice required under the Act, memorandum of association, or articles of association is deemed entitled person waives it in writing before or after the prescribed time. → DEEMED RECEIVED

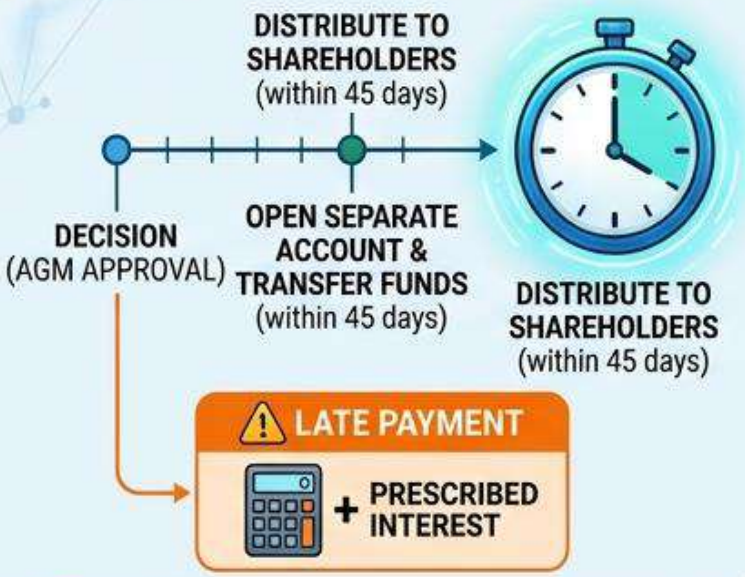
Attendance at meeting:

A shareholder attending a meeting personally or through a proxy is deemed to have waived the right to receive such notice. → WAIVED RIGHT

SECTION 182: DIVIDEND DISTRIBUTION

TIMELINE FOR DISTRIBUTION

(Sub-sections 1, 3, 11)



LEGAL EXCEPTIONS TO THE 45 LIMIT

(Sub-section 1 a, b, c)

LEGAL EXCEPTIONS TO THE 45-DAY LIMIT

(Sub-section 1 a, b, c)

CONDITIONS FOR PROFIT DISTRIBUTION

(Sub-sections 5 & 6)

IMPORTANT RULES & ELIGIBILITY

(Sub-sections 2, 4, 8)

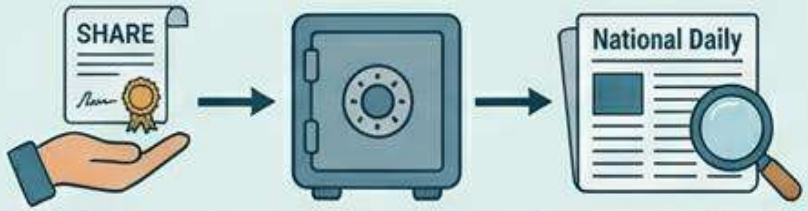
UNCLAIMED DIVIDENDS

(Sub-sections 9 & 10)

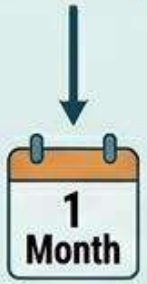
Source: Section 182, Companies Act, Nepal

Section 183 : Investor protection fund

Establishment of Fund:



- ☑ Unclaimed share investment refunds for 5 years shall be transferred to an Investor Protection Fund.
- ☑ Before transfer, a public notice must be published in a national daily newspaper allowing investors at least 1 month to claim the amount.



Utilization of Fund:

The fund may be used for:

Development of the capital market and investment policies.

Improvement of company, trade, business, and professional laws.

Training of Office and company employees.

Other activities related to company administration.

Management & Audit

Committee

Managed by a committee comprising:

- Registrar
- Chairperson/representative of the Securities Board,
- One representative from the stock exchange organization nominated by the Securities Board.

→ The Office must maintain records of expenditures and have the fund audited.

→ **Additional Sources:** The fund may also receive contributions from the Government of Nepal, donor agencies, or other persons/bodies.

Section 184 : Office of company

Registered Office Requirements:

Every company must display a signboard with its name and address in Nepali outside its

The company must register its registered office address with the Office within **3 months** of incorporation.

Contact Details: & Public Record

After registration, the company must provide contact details (telephone, fax, email, etc.) to the Office.

Any changes to contact information must be **promptly notified** to the Office.

Public Record: The Office may maintain an index of registered office and contact addresses for public inspection.

SECTION 185: APPOINTMENT OF COMPANY SECRETARY

QUALIFICATION REQUIREMENTS (Sub-sec 1 & 2)

MANDATORY APPOINTMENT
for Public Companies

Paid-up capital
≥ 10 Million Rupees

NEPALESE CITIZEN

PATH A: PROFESSIONAL CERTIFICATE

Native or Foreign → At least **2 years** work in related field

PATH B: ACADEMIC DEGREE + EXPERIENCE

Bachelor's Degree in **LAW, MANAGEMENT, COMMERCE, or ECONOMICS** → At least **3 years** work in related field or company management

GRANDFATHERING PROVISION (Proviso): Incumbent Company Secretary at commencement allowed to continue for 3 years

PROHIBITIONS (Sub-sec 3 & 4)

DIRECTOR INELIGIBLE

No Director of the concerned company

SINGLE COMPANY LIMIT

Not more than one company at same time

EXCEPTION (Proviso):

Principal Company Secretary **CAN** be Subsidiary Company Secretary

TEMPORARY SECRETARY ARRANGEMENTS (Sub-sec 5)

VACANCY OR INABILITY

When post vacant, secretary fails or is unable

Board of directors designate a **QUALIFIED** Employee

Perform duties as Company Secretary

SECTION 186: FUNCTIONS, DUTIES AND POWERS OF COMPANY SECRETARY

1. GENERAL DUTIES & IMPLEMENTATION

IMPLEMENT DECISIONS
(Board, General Meeting, Office, concerned bodies)

SUBMIT DOCUMENTS
(to to Office, bodies, within specified periods)

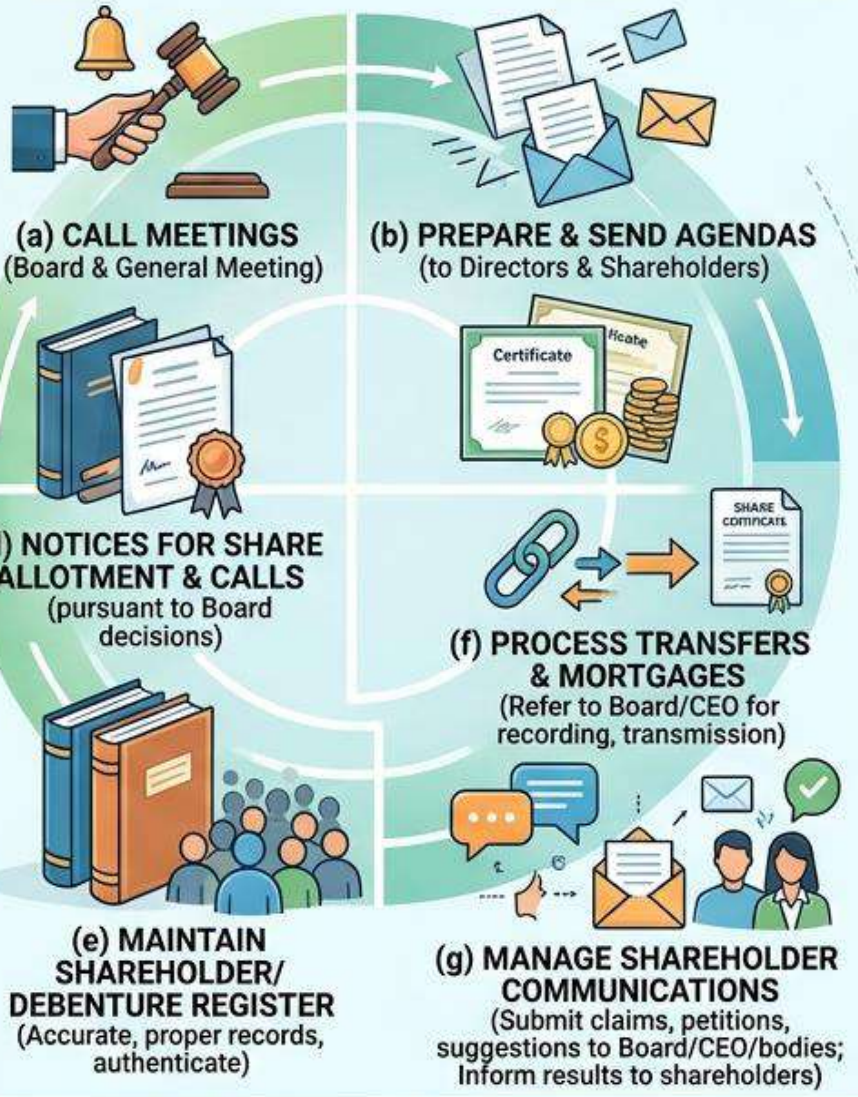
IMPLEMENT DECISIONS IMPLEMENTATION
(Board, General Meeting, Office, concerned bodies)

SUBMIT DOCUMENTS & RETURNS
(to Office, bodies, within specified periods)

3. PROHIBITION OF PERSONAL BENEFIT

CANNOT GAIN BENEFITS through company **GENERAL MEETING DECISION**

2. SPECIFIC FUNCTIONS
(Subject to Act, MA, AA)



(a) CALL MEETINGS
(Board & General Meeting)

(b) PREPARE & SEND AGENDAS
(to Directors & Shareholders)

(d) NOTICES FOR SHARE ALLOTMENT & CALLS
(pursuant to Board decisions)

(f) PROCESS TRANSFERS & MORTGAGES
(Refer to Board/CEO for recording, transmission)

(e) MAINTAIN SHAREHOLDER/ DEBENTURE REGISTER
(Accurate, proper records, authenticate)

(g) MANAGE SHAREHOLDER COMMUNICATIONS
(Submit claims, petitions, suggestions to Board/CEO/bodies; Inform results to shareholders)

3. PROHIBITION OF PERSONAL BENEFIT

(c) MAINTAIN RECORDS & AUTHENTICATE DECISIONS
(Take charge of meeting minutes)

(h) PERFORM OTHER FUNCTIONS
(as specified by law or prescribed)

4. CODE OF CONDUCT

OBSERVE PRESCRIBED CODE OF CONDUCT

*SUMMARY BASED ON SECTION 186 TEXT

Section 187 : Validity of agreement between shareholders

Binding Effect

→ Agreements between shareholders regarding company management, operation, and exercise of voting rights are binding on the parties.

→ Any provision that is prejudicial to the company or minority shareholders is invalid to that extent.

Shareholders that is shareout to the company or minority shareholders is invalid to that extent.

Prejudicial Provision

Submission Requirements:

Agreement Entered

Submit 2 Copies to Company

Submit 1 Copy to Office

→ Shareholders must submit 2 copies of the agreement to the company within 15 days of entering into the agreement.

The company must submit 1 copy of the agreement to the Office within 15 days of receiving it.

Section 187A : Works to be done for prevention of money laundering

The company has to make a commitment in accordance with the prevailing law regarding the prevention of financial investment in asset laundering and terrorist activities.

Section 188 : Effect of inoperativeness of the Companies Ordinance, 2062(2005)

Non-Revival of Past Matters:

Repeal of the Companies Ordinance, 2062 (2005) does not revive anything that was not in force or existing when it became inoperative.

Protection of Existing Rights & Actions:

Actions Lawfully Done

Punishments Suffered

Penalties, Punishments, Forfeitures

Does not affect:

- Actions lawfully done or punishments suffered under the Ordinance.
- Rights, privileges, obligations, and liabilities acquired under the Ordinance.
- Penalties, punishments, or forfeitures already incurred.

Continuation of Legal Proceedings:

Any legal action or remedy relating to such rights, liabilities, penalties, or obligations may be initiated, continued, or enforced as if the Ordinance remained in force.

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